

TRADE SECRETS

Complete Notes

IP71005 Other Forms of IP

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Built from all six class slide decks, the class transcripts and the syllabus,

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How to use these notes

This single document merges everything: the five class slide decks, the sixth deck on Indian trade secret law, the class transcripts, and the syllabus case list. Every case has been checked against the reported judgment, so where a slide says something the judgment does not support, the correction is given at that point.

The order is a learning order, not the order of the classes. You first learn **what a trade secret is**, then **the three ingredients**, then **how it compares with other rights**, then **how it is protected and proved**, then the law of **the world, the United States, Europe and India** in that order, because each builds on the last.

Three conventions. Hyphens are written open, so non compete, know how and WD 40 have no hyphen. Case names appear in ***bold italic***. A **yellow box** marks something worth carrying into the examination hall, and there are only a few of them.

The entire subject in five sentences. A trade secret is the only intellectual property right with no registration and no disclosure, so its whole value rests on secrecy. Three ingredients create it: **secrecy, value from that secrecy, and reasonable steps** to protect it. Because there is no certificate, the right exists only when a court says it does, so **evidence decides everything**. The United States built a full statutory system ending in the Defend Trade Secrets Act of 2016, and Europe harmonised by Directive in the same year. **India has no statute at all**, so protection rests on contract plus equity, and **Section 27 of the Contract Act destroys almost every post employment non compete**.

Part 1. What a trade secret is

1.1 Why it is the odd one out

Every ordinary intellectual property right shares five features. It is a creation of the mind. It is intangible. It is an expression with a registration system attached. It rests on a bargain with the State. And the price the owner pays for that bargain is **public disclosure**.

A trade secret keeps the first two and reverses the other three. There is **no disclosure**, because the whole value is in not telling anyone. There is **no registration**, so there is no office, no examination and no certificate. There is **no bargain**, because the owner teaches the public nothing and so gets nothing back. The owner keeps the information, and also keeps all the risk.

The consequence that runs through the whole subject. A patent survives publication. **A trade secret is destroyed by it.** As the class put it, a trade secret once lost is lost forever. The loss is reputational as well as financial, because the market learns that the holder could not keep its own information safe.

The class deck puts the position sharply. A trade secret is **not a true form of intellectual property**, and it lies in the **complex intersection between labour law, intellectual property law, unfair competition law, equity, contract and criminal law**. It then asks the question the whole course turns on: **do we really need a trade secret law?**

1.2 What qualifies

Any confidential business information which gives an enterprise a competitive edge may be a trade secret. Break the phrase into its two words. **Secret** means kept confidential. **Trade** means it gives a competitive advantage and produces profit. The summary line is that **information which has commercial value and which has been scrupulously kept confidential will be a trade secret**.

1.3 The four kinds of information

The deck arranges the material into four heads: **financial information, technical and scientific information, commercial information, and negative information.**

Negative information, also called negative know how, is the one students miss. It means the data from **failed experiments**, which is almost never published. Telling a rival which four hundred routes do not work hands the rival the entire cost of finding that out. So a trade secret need not teach anything positive at all.

1.4 Subject matter across the life of a business

A diagram in the first class traces trade secrets through three stages, which is the easiest way to remember the range:

1. **Idea, at the research and development stage.** Results of research, covering **both positive and negative data.**
2. **Production, at the manufacturing stage.** The formula or recipe, and the steps of production.
3. **Commercialisation, at the marketing stage.** Sales methods, distribution methods, consumer profiles, advertising strategies, and lists of suppliers and clients.

1.5 Examples from the software industry

Computer technology, meaning hardware and software and especially **source code**, whether or not it is also under patent or copyright protection; algorithms, formulas, data flow charts and specific procedures implemented in software or a website; software design documents; technical data about product performance; software development agreements; and **pending patent applications.**

1.6 Everything else that can be a trade secret

Business plans and strategies; new product names; financial projections; marketing plans and unpublished promotional material; cost and pricing information; sales data; customer lists; information about new business opportunities; personnel performance; and, in the deck's own words, **anything you do not want to be in the public domain.**

A final determination of what counts **depends on the circumstances of each individual case.** Clearly unfair practices in respect of secret information include **industrial or commercial espionage, breach of contract and breach of confidence.**

One more category is worth naming. **Compiled information** is a compilation where every single element is public but the **selection and arrangement** is not. That is where trade secret law meets copyright in databases, dealt with in Part 10.

1.7 Famous trade secrets, and what each one teaches

Coca Cola

Coca Cola chose to treat the recipe as a **trade secret rather than patent it**, because a patent would have disclosed the ingredients, and one of them may have been cocaine. In **1977 Coke divested its entire operations in India** rather than divulge the formula, and has since returned. In **2006 an employee and two accomplices stole the formula and tried to sell it to Pepsi**; Pepsi told Coke, and the three were arrested. *Lesson: the patent against secrecy choice, and that corporate espionage is real.*

Kentucky Fried Chicken

The recipe was at first only in Colonel Sanders' head. He wrote it down, and the **original handwritten copy is in a safe in Kentucky.** Only a few employees know it and they are bound by a confidentiality agreement. **Two separate companies blend a portion** of the herb and spice mixture, which is then automatically processed to standardise it before going to the restaurants. The ingredient list sits in a computerised vault with **two separate locks**, alongside vials of the **eleven seasonings**, and only two executives have access, who **cannot fly together or travel in the same car.** *Lesson: reasonable steps in their most extreme form.*

Google

Google keeps refining its search algorithm, announcing some changes and not others, to stop people gaming the system. Note the layering: **PageRank is a trademark, the process is patented, and the manipulation tools are trade secrets**. *Lesson: one product can carry three different rights at once.*

Listerine

The inventor licensed the secret formula to Lambert Pharmaceuticals. Lambert, now Pfizer, **paid royalties to the inventor's family for over seventy years, even though the formula was revealed during that time**. *Lesson: a contractual royalty can outlive the secret itself.*

WD 40

Developed to prevent corrosion, and still the company's only product. Like Coca Cola it has **never been patented**. The company reveals what is **not** in it, including that there are no known cancer causing agents. The formula sits in a bank vault, taken out only to change banks and once to be carried by the chief executive on horseback in armour for the fiftieth anniversary, and it is **mixed in three different cities** before going to manufacturing partners. Critically, it **has been reverse engineered**, but the secret is kept for marketing purposes. *Lesson: a secret can survive commercially even after it is technically broken.*

The New York Times bestseller list

The Times will not reveal its definition of a bestseller. It is **not merely the number of books sold**, since a book that sold fewer copies can make the list while a better selling book does not. The Times refuses to release the system because it fears **publishers would manipulate the sales data**. *Lesson: the reason for secrecy can be fear of manipulation, not fear of imitation.*

Three food examples

Lena Blackburn's baseball rubbing mud dulls the surface of new baseballs so they are easier to grip; all of it comes from one place on public land, and the location passes to new generations. **Twinkies**: the recipe is secret because the company fears consumers will not understand the ingredient names, not because rivals would copy it. **Krispy Kreme**: the recipe has been secret for seventy years and sits in a safe, but it is **not really the source of competitive advantage**; the real secret is the **process**, an assembly line from which doughnuts emerge still warm. **McDonald's Big Mac special sauce** was so secret it was **lost in the 1980s** during reformulation, and was only recovered from the original producer's records. *Lesson from Krispy Kreme in particular: the process may be the secret, not the recipe.*

Part 2. The three ingredients

2.1 The three requirements

A trade secret needs three things, and **the plaintiff must prove all three**:

1. the information **must be secret**;
2. it must have **commercial value because it is secret**; and
3. the owner must have taken **reasonable steps** to keep it secret.

2.2 Requirement one: secret

The test is that the information is **not generally known among, or easily accessible to, persons within the circles that normally deal with this kind of information**.

What counts as generally known in the software industry: matters of common knowledge; information found in a library, an online database, trade journals or patent information; a price list on a website; and the graphics and object code of software sold off the shelf.

Two qualifications matter. It is **not required that only one person know it**, so a secret survives being shared through a supplier relationship, a joint development agreement or a due diligence investigation. And where software with limited distribution is licensed, **object code can be protected by contract**.

2.3 Requirement two: commercial value

The information must give the holder some economic benefit, and **the benefit must come from the fact that it is not generally known**, not merely from the value of the information itself. Three ways to demonstrate it: the benefits derived from use, the cost of developing the secret, and licensing offers. The value may be **actual or potential**.

The trap in this requirement. The link must be causal. If the information would be just as valuable after publication, it is **not** a trade secret.

2.4 Requirement three: reasonable steps

You **cannot have a trade secret unless you have taken reasonable precautions**. What is reasonable is decided **case by case**, judged against the size of the business and the value of the information. A two person start up is not held to the standard of a pharmaceutical multinational, but it cannot do nothing. The deck names reasonable security procedures and non disclosure agreements, with the aim that **the information could be obtained by others only through improper means**, and it stresses the importance of a proper trade secret management programme.

Two sentences to memorise. If the holder fails to maintain secrecy, or if the information is **independently discovered, released or otherwise becomes generally known, protection is lost**. And **trade secrets do not expire, so protection continues until discovery or loss**.

2.5 The same three ingredients everywhere

TRIPS Article 39(2) requires that the information be not generally known or readily accessible, have commercial value because it is secret, and be subject to reasonable steps by the person lawfully in control. The **Uniform Trade Secrets Act** in the United States speaks of independent economic value, actual or potential, from not being generally known and not readily ascertainable by proper means, plus efforts reasonable in the circumstances. **Article 2(1) of Directive (EU) 2016/943** states the same three limbs.

Examination point that answers most comparative questions. On the **definition** the world has converged. It diverges on **remedies, procedure and criminal liability**.

Part 3. Compared with the other rights

3.1 Trade secret against patent

This is the comparison the course returns to most often. Taking each point with the **patent** position first:

1. **Disclosure.** A patent requires full disclosure. A trade secret requires none.
2. **Subject matter.** A patent is restricted to patentable subject matter. A trade secret has **no restriction**, so its scope is wider.
3. **Filing.** A patent must be filed at the Patent Office. A trade secret has no filing requirement.
4. **Threshold.** A patent is harder to get and harder to defend. The **novelty, utility and non obviousness** requirement does not apply to a trade secret.
5. **Cost.** A patent has filing and maintenance fees. A trade secret has no official fee, but carries the internal cost of keeping the information confidential.
6. **Term.** A patent lasts twenty years. A trade secret lasts an **unlimited time, until it is disclosed**.
7. **Independent development.** A patent **prevents** it. A trade secret does **not**.
8. **Reverse engineering.** A patent has nothing to fear from it. A trade secret is destroyed by it.
9. **Licensing.** A patent royalty ends with the term. A trade secret **can be licensed forever**.

10. **Proof.** Patent infringement needs literal claim analysis or the doctrine of equivalents, which is hard. Misappropriation **can be proved on circumstantial evidence**.
11. **Damages.** Patent law compensates **only real loss**, with no punishment of the infringer and **no remedy at all for acts before the patent issues**. Trade secret damages cover **both actual loss and unjust enrichment**, with exemplary damages in many systems.

The one line test for any advice question. Ask how easily the innovation can be reverse engineered out of the finished product. **Easy means take a patent, because secrecy will not hold. Difficult means keep it a trade secret, because protection is unlimited and nothing is disclosed.**

3.2 Advantages of a trade secret

Protection is **not limited in time** and may continue indefinitely so long as the secret is not revealed. There are **no registration costs**, though keeping the information confidential may be expensive. Protection has **immediate effect**, with no waiting, examination or grant. And there are **no formalities**, because nothing is disclosed to any government authority.

3.3 Disadvantages of a trade secret

1. If the secret is embodied in a product, others may inspect, dissect and analyse it, that is **reverse engineer** it, discover the secret and then lawfully use it.
2. There is **no right to exclude** third parties from commercial use. Only patents and utility models give that.
3. **Once public, anyone may use it at will.**
4. It is **harder to enforce** than a patent, and protection varies sharply between countries and is generally considered weak by comparison.
5. **Someone else may patent it** if they reach the same information by legitimate means.

The least obvious commercial risk, and a favourite examination point. Keeping a secret **does not protect you from another person's patent**.

3.4 Copyright, trademark and design

Copyright protects the expression, not the underlying information, and it survives publication where a secret does not. The overlap is sharpest in software and databases, and in India compilations including computer databases are literary works under **Section 2(o) of the Copyright Act, 1957**. **Trademark** barely overlaps, because a mark must be used publicly to identify trade source, which is the opposite of secrecy; the practical link is that the Coca Cola recipe is a secret while the brand is a mark. A **registered design** protects appearance that is visible on the marketed article and so cannot be secret, although the design before launch can be.

3.5 Patent or secrecy: the seven questions

1. **Is the innovation patentable at all?** If it fails the statutory requirements, including patent eligible subject matter under 35 U.S.C. Section 101 in the United States, secrecy is the only option.
2. **Can it actually be kept secret?** If it is readily discernible from the product itself, trade secret protection is unavailable because the information would not be secret, so patent instead.
3. **Is it likely to become generally known soon?** If competitors or academia will publish shortly, secrecy is sub optimal.
4. **Would the patent survive an attack in litigation?** There is no sense disclosing an invention for a right that will be invalidated.
5. **How quickly will it become obsolete?** Fast obsolescence makes the patent term, cost and effort not worth the benefit.

6. **How quickly can it be commercialised?** Slow monetisation favours a patent, because the term allows long term investment and capitalisation.
7. **Is it worth patenting at all?** Patents cost time and money, and for ordinary know how it is often more practical to rely on secrecy.

For an Indian answer add the statutory point. **Section 3(k) of the Patents Act, 1970** excludes mathematical and business methods, computer programmes as such, and algorithms, which pushes much software and algorithmic work into trade secrecy by default rather than by choice.

Part 4. Protecting a trade secret in practice

4.1 The four basic steps

1. **First**, consider whether the secret is patentable and, if so, whether a patent would protect it better.
2. **Second**, make sure a limited number of people know it, and that all of them know it is confidential.
3. **Third**, include confidentiality agreements in employees' contracts. Under the law of many countries employees owe confidentiality **even without such agreements**, and the duty generally continues, at least for a period, **after the employee leaves**.
4. **Fourth**, sign confidentiality agreements with business partners whenever disclosing confidential information.

4.2 The four layers of protection

1. **Legal**. Confidentiality clauses, non disclosure agreements, assignment of rights clauses, vendor and contractor agreements, and exit acknowledgements.
2. **Administrative**. A written information security policy, classification of information into tiers, access on a need to know basis, confidentiality marking, visitor control, secure destruction, and training with records of training.
3. **Technical**. Access control and authentication, role based permissions, encryption, data loss prevention, control of removable media, logging of access and copying, monitoring of transfers, and controls over code repositories.
4. **Evidentiary**. The layer most often forgotten: the access logs, version histories, device forensics and copy records that actually prove reasonable steps and access when the case is fought.

Layers two and three are not merely good practice. **They are how the third ingredient, reasonable steps, gets satisfied.** Security spending is a legal requirement, not only an operational one.

4.3 Why the law protects trade secrets at all

1. To **maintain and promote standards of commercial ethics and fair dealing**.
2. To **provide an incentive to innovate**, by safeguarding the time and capital invested in developing competitively advantageous innovations, technical and commercial, **especially those that are not patentable or do not merit the cost of patenting**.
3. Because otherwise **competitors could use those innovations without bearing any of the cost or risk** of developing them.

4.4 How secrets are actually lost

Four forces make trade secrets vulnerable: the globalised market place, digitisation, a mobile workforce, and a fragmented value chain.

Five types of actor target them: nation states, activists, competitors, organised crime groups, and malicious insiders. The methods listed are intelligence and political group activity, cyber intrusion, bribery,

theft, social engineering, exploiting disgruntled employees, and access to sensitive information through the employee relationship.

Where the exposure actually sits: malicious insiders; human error such as the loss of a laptop; employees; third parties under some contract; company access control; vendors and supply chain partners, since hackers can enter through the supply chain; and, simply, internal policy that is not maintained strictly.

Six heads of loss follow: financial loss, brand damage, competitive disadvantage, non compliance with applicable regulation, loss of market share, and operational impairment. Note that only the first is purely monetary, which is the point.

Part 5. Proving a trade secret in court

5.1 The right is born in court

Unlike patents, copyrights and trademarks, **trade secrets can only be established in court. No trade secret exists in law until it has been adjudicated to be one.** Its existence is a **question of fact**, decided by a **jury** in the United States and by the **judge** in India. It follows that a successful trade secret management programme must treat **prevailing in court as its first priority**.

5.2 The six factor test

From the **Restatement of Torts, 1939, Section 757, comment b**, published by the American Law Institute. Section 757 explained the subject matter and **Section 758** the elements of the misappropriation claim, and the Institute returned to the topic in **Sections 39 to 45 of the Restatement (Third) of Unfair Competition, 1993**. The six factors ask:

1. how far the information is **known outside** the business;
2. how far it is **known by employees and others inside** it;
3. the extent of the **measures taken** to guard secrecy;
4. the **value** of the information to the business and to its competitors;
5. the **time, effort and money** spent developing it; and
6. the **ease or difficulty** with which others could properly acquire or duplicate it.

India uses the same six factors. In *Bombay Dyeing Manufacturing Company v Mehar Karan Singh* the Bombay High Court held that, **in the absence of a statutory definition**, courts should assess the same six parameters, adding only that the fourth is expressed as the savings effected and the value to the holder as against a competitor, and the sixth as the time and expense it would take others to acquire and duplicate the information. **An Indian court with no statute has arrived at the American common law test.** That is a strong comparative point.

5.3 The Defendability Factor

The scores on the six factors can be **combined mathematically** into a single Defendability Factor, which measures how likely the claimed secret is to satisfy the **existence** proof in court. Its practical use is triage: a company pleads its **strongest** secrets and avoids pleading weak ones.

5.4 The EONA proofs

Six proofs win a trade secret case. **Use** and **damages** are the same as in patent and copyright. The four unique to trade secrets spell **EONA**:

1. **Existence.** What exactly is it? It must be identified with precision.
2. **Ownership.** Does the plaintiff own it?
3. **Notice.** Did the defendant have actual, implied or constructive notice of its trade secret status?

4. **Access.** Did the defendant have access to it?

The typical access pattern is worth memorising, because every Indian employee case follows it: an employee acquires the secret, resigns, joins a competitor, takes the secret along, discloses it, and the new employer then uses it.

5.5 Ownership, and the four class hypotheticals

The rule to start from is that the **work for hire doctrine belongs to the United States Copyright Act and does not apply to trade secrets**. There must therefore be an **assignment from everyone involved in creating the information**, or the company may not own it. Four worked examples show where the line falls:

1. A employs B, a chemist, to develop new products. B develops a floor cleaner formula in that employment and, after leaving, is induced by competitor C to disclose it. **Both B and C are liable**, because B was hired to do exactly that work, and C induced the disclosure knowingly.
2. B is hired by A to analyse competitors' formulas, and after leaving does the same work for C using the general skill acquired with A. **Neither is liable**, because what B carries away is skill, not A's secret.
3. B, a toy designer with A, invents a new manufacturing process, leaves, and helps implement it at a rival. **Rights belong to B** in the absence of agreement, because the process was **not part of B's assigned duties**, but A may have a **shop right** if B used A's time, personnel, facilities or equipment.
4. A third party acquires the same secret lawfully, by reverse engineering or independent development. **That party becomes an owner too** and cannot be sued for misappropriation.

Two employees can do almost the same thing and reach opposite results. What decides it is **whether the information was the product of the assigned duties**, and **whether what the employee carries away is the employer's secret or the employee's own skill**.

5.6 The burden of proof, in four steps

1. **Establish the secret character.** Prove that the specific information was not publicly known and was treated as confidential. Showing it was merely internal or unpublished is not enough.
2. **Demonstrate reasonable steps**, documented through restricted access, passwords, training and signed agreements.
3. **Distinguish skill from secret**, drawing a clear line between what belongs to the employer and what belongs to the employee.
4. **Prove actual or threatened misuse.** After **Varun Tyagi** in 2025, mere employment with a competitor is not enough; specific misuse or imminent disclosure must be shown with concrete evidence.

The best revision device in the whole module. Every Indian case fails or succeeds at an identifiable rung of this ladder. **Priya Puri** fails at rung one on secret character. **Navigators Logistics** fails at rung one on pleading. **Ritika** fails at rung one on identification. **Varun Tyagi** fails at rung four.

Part 6. The international rules

6.1 Paris Convention, 1883

Paris does not list trade secrets as a category of their own. Protection rests on **Article 10bis**, which requires effective protection against **unfair competition**, meaning any act of competition contrary to honest practices in industrial or commercial matters. **Article 10ter** requires appropriate legal remedies to repress those acts.

Slide error. One deck cites Article 10 for unfair competition. **Article 10 deals with false indications of source. The unfair competition provision is Article 10bis.**

6.2 TRIPS Article 39

Article 39 sits under the heading **Protection of Undisclosed Information** and is the first time a multilateral treaty obliged States to protect trade secrets.

1. **Article 39(1)** ties the obligation to Article 10bis of Paris.
2. **Article 39(2)** requires that persons have the **possibility** of preventing information lawfully within their control from being disclosed, acquired or used without consent **in a manner contrary to honest commercial practices**, provided the three ingredients are met. That phrase means at least **breach of contract, breach of confidence and inducement to breach**, and it includes acquisition by third parties who **knew, or were grossly negligent in failing to know**, that such practices were involved.
3. **Article 39(3)** protects regulatory data. Where a Member requires, as a condition of approving the marketing of **pharmaceutical or agricultural chemical products using new chemical entities**, the submission of undisclosed test or other data **the origination of which involves a considerable effort**, it must protect that data against **unfair commercial use** and against **disclosure**, except where necessary to protect the public or unless steps are taken to guard against unfair commercial use.

Three procedural articles go with it. **Article 42** requires fair and equitable procedures, including civil judicial procedures, timely written notice with sufficient detail, independent legal counsel, the opportunity to substantiate claims and present evidence, and **protection of the parties' confidential information unless that would be contrary to existing constitutional requirements**. **Article 44** requires power to grant **injunctions**, including to prevent infringing imported goods entering commerce **immediately after customs clearance**, subject to a good faith exception. **Article 45** requires power to award **damages for injury suffered and expenses, which may include appropriate attorney's fees**.

The single word the whole Indian debate turns on. Article 39(2) requires only that persons have the **possibility** of preventing misuse. It does **not** prescribe a statute. The class deck draws the inference expressly: the word implies that **trade secrets should be protected within the legal system, and not necessarily within the intellectual property legislative framework**.

Part 7. United States law

7.1 Where it came from

Trade secret law in the United States is **a creation of state court opinions from the middle of the nineteenth century**. It evolved out of a series of related common law torts, namely breach of confidence, breach of confidential relationship, common law misappropriation, unfair competition, unjust enrichment, and torts related to trespass or unauthorised access to property. It also grew out of contract and common law rules governing the **employment relationship**.

The law now sits in five layers: the **Restatements** at common law; the **Uniform Trade Secrets Act** at state level; and three federal statutes, the **Trade Secrets Act of 1948**, the **Economic Espionage Act of 1996** and the **Defend Trade Secrets Act of 2016**.

7.2 The Uniform Trade Secrets Act

Issued in **1979** by the National Conference of Commissioners on Uniform State Law and amended in **1985**. It was **the first comprehensive effort to codify trade secret law, incorporating the major common law principles while filling gaps left by the courts**. The Conference has **no legislative authority of its own**, so its acts become law only where a state legislature adopts them. In the United States trade secrets are generally protected under **state law, which varies from state to state**; every state recognises some form of protection, and most have passed a statute, **although some rely solely on common law**. A few states even treat theft of trade secrets as a **prosecutable crime**.

On how many states have adopted it, be careful. One class slide says **all the states**, and another says **48 states plus the District of Columbia, Puerto Rico and the United States Virgin Islands, as of November 2020**. Independent checking gives **49 states** plus those three jurisdictions, with **New York**

the holdout. The safe answer is to **give the figure with its date** and to say that **New York has not adopted it.** Never write that every state has.

The definition

A **trade secret** means information, including a formula, pattern, compilation, program, device, method, technique or process, that (i) derives independent economic value, actual or potential, from not being generally known to, and not being readily ascertainable by proper means by, other persons who can obtain economic value from its disclosure or use, and (ii) is the subject of efforts that are reasonable under the circumstances to maintain its secrecy.

Misappropriation

The first limb is **acquisition** by a person who knows or has reason to know that the secret was acquired by improper means. The second is **disclosure or use** without express or implied consent by a person who:

- (a) used improper means to acquire knowledge of it; or
- (b) at the time of disclosure or use knew or had reason to know that the knowledge was derived from a person who used improper means, or was acquired under circumstances giving rise to a **duty to maintain secrecy or limit use**, or came from a person who owed such a duty; or
- (c) before a **material change of position**, knew or had reason to know that it was a trade secret and that knowledge of it had been **acquired by accident or mistake**.

Remedies

Injunctive relief for actual or threatened misappropriation, and **monetary relief** comprising lost profits, unjust enrichment, a reasonable royalty, **exemplary damages for wilful or malicious conduct capped at twice the compensatory award**, and attorney's fees in defined circumstances.

Massachusetts and New York

1. Both require **continuous use** of a trade secret to qualify for protection.
2. Their common law **does not allow the liberal cost shifting provisions** of the Uniform Act.
3. Both are **hesitant to apply the inevitable disclosure doctrine** to enjoin threatened misappropriation by a former employee.

7.3 The Trade Secrets Act, 1948

Much narrower than the name suggests. Codified at **18 U.S.C. 1905**, it forbids **federal government employees and government contractors** from unauthorised disclosure of confidential government information, including trade secrets. The sanctions are **removal from office or employment, plus a fine or imprisonment of not more than one year, or both**. It **does not apply to state or local government actors, or to private sector employees**, so it is not a general trade secret law.

7.4 The Economic Espionage Act, 1996

Passed because of growing international and domestic economic espionage against United States businesses. It lets United States Attorneys prosecute **economic espionage** or the **theft of trade secrets**, and it also authorises the **Attorney General to bring a civil action for injunctive relief**. It creates two offences:

1. **Section 1831, economic espionage.** The offender intends or knows the offence will benefit a **foreign government, instrumentality or agent**.
2. **Section 1832, theft of trade secrets.** The offender intends to confer an **economic benefit on another party**, and the secret relates to a product or service used in or intended for use in **interstate or foreign commerce**.

As a threshold matter, under either provision the information must qualify as a trade secret.

The definition in Section 1839(3)

All forms and types of financial, business, scientific, technical, economic or engineering information, including patterns, plans, compilations, program devices, formulas, designs, prototypes, methods, techniques, processes, procedures, programs or codes, whether tangible or intangible, and whether or how stored, compiled or memorialised, if the owner has taken reasonable measures to keep it secret and it derives independent economic value, actual or potential, from not being generally known and not readily ascertainable. This is substantially similar to the Uniform Act definition, though broader. The original wording referred to **the public**, which was an error later corrected to **another person who can obtain economic value** from the disclosure or use.

Penalties

Under **Section 1831** an individual may be fined **up to 5 million dollars or imprisoned up to 15 years, or both**, and an **organisation** fined **the greater of 10 million dollars or three times the value of the stolen trade secret**, including the research, design and reproduction costs it thereby avoided. Under **Section 1832** theft for commercial advantage is punishable by a fine of **up to 250,000 dollars and imprisonment up to 10 years** for individuals, and **up to 5 million dollars** for organisations.

Three points on economic espionage

1. The **benefit** includes not only an economic benefit but also a **reputational, strategic or tactical** one.
2. A **foreign instrumentality** includes any entity **substantially owned, controlled, sponsored, commanded, managed or dominated** by a foreign government.
3. A **foreign corporation** acting **without evidence of sponsorship or control by a foreign government** may **not** be prosecuted under Section 1831.

The misappropriation must be **knowing**, meaning the individual knew the information was valuable to its owner and that the owner had taken steps to keep it confidential. On intent to injure, the government **need not prove malice or evil intent**, but only that the actor **knew or was aware to a practical certainty** that his conduct would cause some disadvantage to the rightful owner.

What is not prohibited, and the exceptions

Section 1833 provides that the chapter does not prohibit, or create a private right of action for, any otherwise lawful activity conducted by a governmental entity, or a disclosure covered by the immunity provision. Two statutory exceptions are named: the government may conduct an otherwise lawful **investigative, protective or intelligence activity**, and suspected **criminal activity may be reported to law enforcement**.

Reach and overlap

Under **Section 1837** either offence may be prosecuted if **the offender is a United States citizen or permanent resident alien or an organisation organised under United States law**, or if **an act in furtherance of the offence is committed within the United States**. The Act **does not preempt** other remedies, so prosecutors may also use the **Computer Fraud and Abuse Act**, the **National Stolen Property Act** and the **federal wire fraud statute**.

The gap, and the failed bills

The Act gave criminal penalties and a civil action by the Attorney General, but **no private civil right of action**. Four bills tried to create one and all failed: the **Protecting American Trade Secrets and Innovation Act of 2012**, the **Private Right of Action Against Theft of Trade Secrets Act of 2013**, the **Trade Secrets Protection Act of 2014**, and the **Future of American Innovation and Research Act of 2013**, which sought an entirely new framework independent of the Act.

The two successful amendments of 2012

The **Theft of Trade Secrets Clarification Act of 2012**, adopted **28 December 2012**, responded to **United States v Aleynikov** by deleting the words **or included in a product that is produced for or placed in** and substituting **a product or service used in or intended for use in** interstate or foreign commerce. The **Foreign and Economic Espionage Penalty Enhancement Act of 2012**, signed **14 January 2013**, required a review of sentencing guidelines and **increased the fines for foreign espionage under Section 1831**.

7.5 The Defend Trade Secrets Act, 2016

Signed into law and **effective 11 May 2016**. It filled the gap by creating a **federal private civil cause of action** under Section 1836(b), available to an owner, including a licensee, of a trade secret **related to a product or service used in or intended for use in interstate or foreign commerce**. Under Section 1836(c) it replaced exclusive federal jurisdiction with **original jurisdiction**, and under Section 1836(b)(2) it added the **ex parte seizure remedy**.

It uses the Economic Espionage Act definitions of trade secret and misappropriation, and on **improper means** it repeats the Uniform Act list of theft, bribery, misrepresentation, breach or inducement of a breach of a duty to maintain secrecy, and espionage through electronic or other means, but **adds expressly that improper means does not include reverse engineering, independent derivation, or any other lawful means of acquisition**.

Civil seizure: the eight conditions

Seizure may be ordered only in **extraordinary circumstances** and only on findings that:

- (a) **other injunctive relief would be ineffective**, because the defendant would evade, avoid or not comply with an order under Federal Rule of Civil Procedure 65 or other equitable relief;
- (b) the applicant would suffer **immediate and irreparable injury** without it;
- (c) the **balance of equities** favours the applicant, whose harm from refusal outweighs the harm to the defendant's legitimate interests and **substantially outweighs** harm to third parties;
- (d) the applicant is **likely to succeed** in showing both that the information is a trade secret and that the defendant misappropriated it or conspired to do so;
- (e) the defendant has **actual possession** of the trade secret and of the property to be seized;
- (f) the application describes the matter and its location with **reasonable particularity**;
- (g) the defendant **would destroy, move, hide or make the matter inaccessible** if the applicant proceeded on notice; and
- (h) the applicant **has not publicised** the requested seizure.

The court must also set a hearing **no later than seven days** after the order and require security, and a person harmed by a wrongful or excessive seizure has a **cause of action for damages**.

Remedies, damages and limitation

The court may grant an **injunction** against actual or threatened misappropriation, **require affirmative steps** to protect the secret, and in **exceptional circumstances that render an injunction inequitable** grant a **royalty injunction**, conditioning future use on a reasonable royalty for no longer than the period for which use could have been enjoined.

A claimant may recover **actual loss**; **unjust enrichment** not already counted in actual loss; or **in lieu of both, a reasonable royalty**. **Exemplary damages** up to **twice** the compensatory award are available for wilful and malicious misappropriation, and **attorney's fees** where a claim is made in bad faith, where a motion to terminate an injunction is made or opposed in bad faith, or where the misappropriation was wilful and malicious.

The arithmetic to remember. Remedies and limitation are identical to the Uniform Act. The limitation period is **three years** from when the misappropriation was, or with reasonable diligence should have been, **discovered**, and a **continuing misappropriation is a single claim**, so the clock runs **once**, not afresh from each use. On damages, **compensatory X plus exemplary 2X equals treble damages**.

Protecting the secret during the case

The court **may not authorise disclosure** of information the owner asserts is a trade secret unless the owner first has the opportunity to **file a submission under seal**. Information provided under seal **may not be used for any purpose other than the action**, and disclosure in the action **does not by itself waive** trade secret protection.

Whistleblower immunity and the notice requirement

An individual is immune from criminal and civil liability under **any federal or state trade secret law** for three kinds of disclosure:

1. a disclosure made **in confidence** to a federal, state or local government official, directly or indirectly, or to an attorney, **solely for the purpose of reporting or investigating a suspected violation of law**;
2. a disclosure made in a **complaint or other document filed under seal** in a lawsuit or other proceeding; and
3. a disclosure to an attorney or in a court proceeding by a person who **files a retaliation lawsuit** after reporting a suspected violation, so long as filings are under seal and nothing else is disclosed except by court order.

The employer **must give notice of this immunity** in any contract with an **employee**, a term covering traditional employees, independent contractors and consultants, or alternatively may **cross refer in a non disclosure agreement to a policy document** setting out its reporting policy. The requirement applies **only to agreements entered into after 11 May 2016**.

Note exactly what the sanction is. A failure to give the notice **does not bar the claim**. It bars **only the recovery of exemplary damages or attorney's fees** against an employee who did not receive it.

Extraterritorial reach and RICO

Both Acts **expressly apply to extraterritorial conduct** under Section 1837. The 2016 Act also amended **Section 1835** to make Sections 1831 and 1832 **RICO predicate acts** under Section 1961(1), opening the door to civil claims under the Racketeer Influenced and Corrupt Organizations Act. The power of RICO lies in its **conspiracy provision**, based on an enterprise rationale, which allows apparently unrelated crimes with a common objective to be tied into a prosecutable **pattern of racketeering**. It provides **severer penalties**, permits separate punishment for both the underlying crimes and the substantive RICO violation, and allows **a private individual damaged in his business or property to sue**.

On damages for foreign acts, a leading district court held that a plaintiff may recover for **foreign misappropriation so long as an act in furtherance, such as marketing knock off products at a trade show, took place in the United States: *Motorola Solutions, Inc v Hytera Communications Corp***, 436 F. Supp. 3d 1150. A bill in the 117th Congress, the **Protect American Trade Secrets Act of 2021 (H.R. 4327)**, would have gone further by codifying application to conduct outside the United States impacting United States commerce.

7.6 Section 337 of the Tariff Act of 1930

Owners may also file misappropriation claims at the **United States International Trade Commission** under **19 U.S.C. Section 1337**. The Commission may issue injunctions to **stop the importation of products that harm United States industry and are made using misappropriated trade secrets**, and it may do so **even if the misappropriation took place outside the United States**. A bill in the 117th Congress, the **SECRETS Act of 2021 (S. 2067)**, would have created a separate procedure to bar imports produced using trade secrets misappropriated by a **foreign agent or foreign instrumentality** on national security grounds.

7.7 Asset management and the IT analysis

Traditionally, litigants used the **liberal discovery provisions** of the Federal Rules of Civil Procedure to identify, create or pronounce for the first time what the trade secrets were, **during discovery**. The class position is that this **after the fact approach will no longer be tolerated**, noting that **civil law countries do not even permit discovery**.

The line the whole subject rests on. The starting point and the ending point of all of trade secrets law is the **IT analysis: what is it** that is alleged to be the trade secret?

7.8 The United States cases

United States v Lange

312 F.3d 263 (Seventh Circuit, 2002).

Facts. RAPCO, a maker of aircraft parts, learned that Lange, a disgruntled former employee, was offering to sell its secret manufacturing processes to third parties. RAPCO reported him to the Federal Bureau of Investigation, which arrested him in a **sting operation** in which he negotiated with an undercover agent for a data copy.

Decision. Convicted under the Economic Espionage Act and sentenced to **thirty months in prison**.

Principle. The Act works in an **ordinary commercial theft**, not only in foreign espionage. It is the classic example of the statute being used to protect a victim company.

United States v Aleynikov

676 F.3d 71 (Second Circuit, 2012).

Facts. A Goldman Sachs programmer copied the **source code of the firm's high frequency trading system** on his last day and took it to a new employer. He was prosecuted under the **National Stolen Property Act** and the **Economic Espionage Act**.

Decision. The conviction was **reversed** and the indictment held legally insufficient.

Principle. The source code was **not a stolen good** within the National Stolen Property Act, and was **not related to a product produced for or placed in interstate or foreign commerce** within the Economic Espionage Act as it then stood, because the system was used internally and never licensed or sold. The reasoning is textual, not about the seriousness of the conduct, and it produced the **Clarification Act of 2012**.

Aleynikov is the American version of the difficulty India faces in fitting **information** into property based crimes such as theft and criminal breach of trust. Use the two together in a comparative answer.

Epic Systems Corporation v Tata Consultancy Services

980 F.3d 1117 (Seventh Circuit, 2020).

Facts. A mutual customer gave Tata access to Epic's user web portal **for the limited purpose of testing** at that customer's installation. Tata employees used the access to download large quantities of Epic's confidential documentation for a competing product.

Decision. Liability established, with very large compensatory and punitive awards later reduced on review. The figures are reported differently in different sources, so state them with care.

Principle. **Access granted for one limited purpose does not authorise use for another.** This is the leading outsourcing risk case: the access that makes the service possible is the access that creates the exposure.

TianRui Group Co Ltd v International Trade Commission

661 F.3d 1322 (Federal Circuit, 2011).

Facts. A Chinese manufacturer acquired a United States company's **cast steel railway wheel process** through former employees of the licensee in China, and exported the wheels into the United States.

Decision. The Commission could **bar the imports** under Section 337 of the Tariff Act.

Principle. The relevant unfair act is the **importation**, which occurs in the United States; the misappropriation abroad is only the predicate. **Enforcement happens at the border rather than in a courtroom.**

Part 8. The inevitable disclosure doctrine

8.1 What the doctrine says

The doctrine **arises out of the concept of threatened misappropriation**. It proposes that an employee **may be enjoined by showing that the employee's new job duties will inevitably cause him to rely upon knowledge of the former employer's trade secrets**, even without any conscious intention to use them. It is traced back to the 1919 case of *Eastman Kodak Co v Powers Film Products, Inc.* It was originally applied only to employees in **technical fields**, but courts expanded it to employees holding **financial, manufacturing, production and marketing information**.

It is **not a cause of action**. It is a way of establishing the **threatened** misappropriation that the Uniform Act already allows to be enjoined.

8.2 PepsiCo, Inc v Redmond

54 F.3d 1262 (Seventh Circuit, 1995). Bauer, Coffey and Flaum, Circuit Judges, opinion by Flaum J, 11 May 1995.

Facts. William Redmond Junior was in **upper management at PepsiCo**, General Manager of the California business unit, with access to strategic plans including the 1995 Annual Operating Plan and to pricing, distribution and marketing information for the **All Sport** drink. He had signed a **confidentiality agreement but not a non compete**. He secretly negotiated with **Quaker Oats**, owner of Gatorade and Snapple, and accepted the post of Vice President, Field Operations.

Decision. The Seventh Circuit **affirmed a preliminary injunction** under the Illinois Trade Secrets Act.

Principle. A plaintiff may prove misappropriation by showing that the new employment **will inevitably lead to disclosure**, but **the mere fact that the defendant took a similar position at a competitor does not alone make disclosure inevitable**. The information was **not general skills and knowledge** but **particularised plans and processes which give the employer an advantage over competitors**. The case arose under the Uniform Act, in a **non technical field**, and **established the standard by which inevitable disclosure is evaluated**.

8.3 What a temporary injunction requires

1. **Likelihood of success at trial**, analysed with reference to the trade secret case.
2. **Potential for irreparable injury** without the injunction. Courts differ on whether irreparable harm is **presumed** from a showing of inevitable disclosure.
3. **A balancing of the equities**, since preliminary injunctions are issued before trial and often have serious consequences for one party.
4. **The effect on the public interest**, since enjoining a highly skilled individual from future employment in a similar industry may carry **negative economic and social impacts** for the public at large.

8.4 Is inevitable disclosure the same as threatened misappropriation?

The class poses the relationship three ways: they are the same; they are different; or threatened misappropriation **leads to** inevitable disclosure. Four cases work the question through.

1. *Barilla America, Inc v Wright*. Inevitable disclosure aims at **preventing disclosures despite the employee's best intentions**; threatened misappropriation aims at **preventing disclosures based on the employee's intentions**.
2. *Del Monte Fresh Produce Co v Dole Food Co*. Inevitable disclosure is a **separate and distinct theory**. The Uniform Act expressly provides for two types of misappropriation, **actual and threatened**, and some courts have derived a **third, inevitable disclosure**. The distinction lies in the **level of proof**: inevitable disclosure needs a **real and present danger of disclosure**, while threatened misappropriation needs **proof beyond inevitability**.
3. *Whyte v Schlage Lock Co*. The doctrine **cannot be used as a substitute for proving actual or threatened misappropriation**.

4. **Central Valley General Hospital v Smith**. California reaffirmed this, holding inevitable disclosure to be an **alternative to proof of actual or threatened misappropriation**, and that **rejecting the doctrine did not reject threatened misappropriation** as a basis for relief.

8.5 The eight factors courts weigh

The employer must first prove **the existence of a trade secret and that the employee possessed it in some manner**. Beyond that the courts weigh:

1. the existence of a **restrictive covenant**;
2. the **degree of competition** between the former and the new employer;
3. **bad faith behaviour** by the former employee or the new employer;
4. the **type, identification and extent of knowledge** of the employee;
5. **policy considerations**;
6. the **new employer's efforts to safeguard** the former employer's trade secrets;
7. the **similarity** between the previous and current position; and
8. whether the trade secrets are **highly valuable to both employers**.

On the first factor, a restrictive covenant **simply adds a breach of contract claim** to the complaint. Restrictive covenants fall into two kinds: a **confidentiality or non disclosure agreement**, being a promise to keep information confidential; and a **non compete agreement**, which prevents working for a competitor for a period, usually limited to a geographical area.

8.6 Two later cases under the 2016 Act

Molon Motor and Coil Corporation v Nidec Motor Corporation, No. 1:2016cv03545, Document 81 (N.D. Ill. 2017), **adopted the doctrine**. A maker of bespoke motors and gearmotors sued a competitor after an employee who had allegedly downloaded its designs and technical data joined that competitor. The defendant argued the Act did not apply because the acts pre dated May 2016. The court held the key question was whether the **inference of inevitable disclosure reasonably extends to continued use beyond the effective date**, and found that a motor design and its quality control data **would plausibly retain value well into the future**, so continued use after May 2016 was plausible.

Two employee cases follow. In **Santander Securities v Gamche**, 2017 WL 1208066 (E.D. Penn. April 2017), Gary Gamche left Santander for the competitor Citizens Securities **taking a list of his clients**. In **Brand Energy v Irex**, former employees allegedly took **target bids and potential customer information**, joined Irex and began poaching business; the court held the Act **can apply to continuing misappropriation occurring after the effective date**.

8.7 Where the doctrine stands today

1. **Accepted** in several States, most prominently **Illinois** after **PepsiCo v Redmond**.
2. **Rejected in California**, where non competes are generally unenforceable and the doctrine with them, and treated with hesitation in **Massachusetts and New York**.
3. **Declined at federal level**. Under **18 U.S.C. 1836(b)(3)(A)** a court may not grant an injunction preventing a person from entering an employment relationship, and any condition placed on the employment must rest on **evidence of threatened misappropriation and not merely on the information the person knows**. The Act also **bars injunctive relief that would conflict with state law** prohibiting restraints on a lawful profession, trade or business.
4. **Rejected in India**, which requires proof of **actual or specifically threatened misuse** rather than theoretical inevitability. Pre emptive relief based on the nature of a new job is extraordinarily rare, because of the constitutional commitment to occupational freedom.

The three sentence arc that answers any employee mobility question. The United States invented inevitable disclosure. The federal statute of 2016 then declined it. India never accepted it.

One further point of context. Critics say the 2016 Act is **largely duplicative** of the Uniform Act and **failed to achieve national uniformity**, precisely because federal courts still disagree on inevitable disclosure. The class notes that this gained new salience with the **January 2023 notice of proposed rulemaking by the Federal Trade Commission** that would ban most non compete agreements.

Part 9. European Union

9.1 Why a Directive was needed

Trade secrets **did not enjoy an equivalent level of protection throughout the Union**. Six defects were identified, and each explains a later provision:

1. not all Member States had adopted **national definitions** of a trade secret or of unlawful acquisition, use or disclosure, so the scope of protection was **not readily accessible** and differed between States;
2. there was **no consistency in civil remedies**, and cease and desist orders were **not always available against third parties who are not competitors** of the holder;
3. States differed on the third party who **acquired in good faith** and only later learned that the acquisition derived from an earlier unlawful one;
4. States differed on whether a holder could obtain **destruction of goods** made using the secret, or the return or destruction of documents and materials containing it; and
5. national rules on **calculating damages** often ignored the **intangible nature** of a secret, making lost profits and unjust enrichment hard to prove **where no market value can be established**.

9.2 Directive (EU) 2016/943

Full title: the Directive **on the protection of undisclosed know how and business information, trade secrets, against their unlawful acquisition, use and disclosure**. Adopted **8 June 2016**, with compliance due by **9 June 2018**. Being a directive it requires national transposition and sets a **floor, not a ceiling**.

It harmonises the **definition** in line with internationally binding standards, defines the **forms of misappropriation**, and clarifies that **reverse engineering and parallel innovation must be guaranteed**. Without establishing criminal sanctions it harmonises the **civil** means of protection, namely **stopping** unlawful use and further disclosure, **removing from the market** goods manufactured on the basis of an illegally acquired secret, and the **right to compensation** for the damage caused.

Article 2: the definition

A trade secret is information which meets all three of the following:

- (a) it is **secret**, meaning not, **as a body or in the precise configuration and assembly of its components**, generally known among or readily accessible to persons within the circles that normally deal with that kind of information;
- (b) it has **commercial value because it is secret**; and
- (c) it has been subject to **reasonable steps** in the circumstances, by **the person lawfully in control**, to keep it secret.

Infringing goods means goods whose design, characteristics, functioning, production process or marketing **significantly benefits** from trade secrets unlawfully acquired, used or disclosed.

The words about **configuration and assembly** matter, because they expressly protect **compilations** whose individual elements are public. The phrase **person lawfully in control**, rather than owner, also suits licensees better than the American wording.

Article 3: lawful acquisition

- (a) **independent discovery or creation**;

- (b) **observation, study, disassembly or testing** of a product made available to the public or lawfully in the acquirer's possession, being the express **reverse engineering safe harbour**;
- (c) exercise of the **right of workers or workers' representatives to information and consultation**, a limb with **no United States equivalent**; and
- (d) any other practice in conformity with **honest commercial practices**.

Acquisition, use or disclosure is also lawful **to the extent required or allowed by Union or national law**.

Article 4: what is unlawful

1. **Acquisition** is unlawful when carried out by **unauthorised access to, appropriation of, or copying of** documents, objects, materials, substances or electronic files lawfully under the holder's control, containing the secret or **from which it can be deduced**, or by **any other conduct contrary to honest commercial practices**.
2. **Use or disclosure** is unlawful where the person **acquired the secret unlawfully**, or is **in breach of a confidentiality agreement or other duty not to disclose**, or is **in breach of a duty to limit use**.
3. **Third party liability**. Acquisition, use or disclosure is also unlawful where the person **knew or ought to have known** that the secret was obtained, directly or indirectly, from someone using or disclosing it unlawfully.
4. **Infringing goods**. The **production, offering or placing on the market** of infringing goods, or their **importation, export or storage** for those purposes, is unlawful use where the person knew or ought to have known of the unlawful use.

Article 4(5) is the Directive's biggest innovation and the clearest divergence from United States law. It creates something close to a **product based right**, reaching **downstream traders and importers**. The Defend Trade Secrets Act has no equivalent.

Article 5: the exceptions

Four exceptions: **freedom of expression and information**, including pluralism of the media; **revealing misconduct, wrongdoing or illegal activity** to protect the general public interest; **disclosure by workers to their representatives** in the legitimate exercise of their functions; and protection of a **legitimate interest recognised by Union or national law**. The class marks that last limb as **too broad**, against the narrower United States provision confined to communications to the authorities or a court for the sole purpose of reporting possible criminal conduct.

On whistleblowing, the burden is notable: it is **generally the plaintiff** who must demonstrate by **clear and convincing evidence** that a disclosure is purposefully dishonest or absent of public interest, and that measures taken against a whistleblower are unrelated to the disclosure.

On freedom of expression the test is: when considering whether it is necessary to restrict freedom of expression to prevent disclosure of information received in confidence, **the test is not simply whether the information is a matter of public interest, but whether in all the circumstances it is in the public interest that the duty of confidence should be breached**. See *HRH Prince of Wales v Associated Newspapers Ltd*, [2006] EWCA Civ 1776.

9.3 The four changes the Directive introduced

1. **Action against third parties** who acquire a secret from another where they **ought to have known** it had been unlawfully used or disclosed. This strengthens protection in Germany, Italy, France, the Netherlands, Spain, Belgium, Denmark and Poland, and helps **clamp down on the market for stolen trade secrets**, for example those obtained through **cyber attacks**, by making a **downstream recipient** liable despite lacking actual knowledge.
2. **Protection against infringing goods** whose design, functioning, production or marketing significantly benefits from a secret. This helps most where goods are **imported into the European Union** after manufacture in jurisdictions with weaker protection.

3. **Protection during litigation**, through **confidentiality clubs**, **private hearings** and the **redaction of judgments**, improving the position in France, the Netherlands, Spain, Belgium, Poland and Finland, and removing the risk that the proceedings themselves disclose the secret.
4. **Interim and preliminary measures** in all jurisdictions, including interim prohibitions on use or disclosure, preliminary injunctions, and **seizures of goods** which significantly benefit from a secret. This improves the position in France, Belgium and Finland.

9.4 The two systems compared

1. **Definition.** Same destination by different routes. The American provision at **Section 1839(3)** opens with a long enumerated list; the European provision at **Article 2(1)** states an abstract three part test, is more explicit on **compilations**, and speaks of the **person lawfully in control**.
2. **Misappropriation.** The same ground in the same order, except that the American definition alone contains the **accident or mistake** limb, and the European alone contains the **infringing goods** limb at Article 4(5).
3. **Improper means and lawful acquisition.** **Section 1839(6)** excludes reverse engineering, independent derivation and other lawful means. **Article 3(1)** lists the lawful routes positively and adds the **worker consultation** safe harbour.
4. **Protection during litigation.** Both allow **closed proceedings** and limits on access to evidence. The Directive, however, requires that **at least one representative of every party have full access to all information**, so courts must be vigilant about confidentiality obligations. The American statute instead allows access to be confined to **attorneys of record and approved experts**.
5. **Whistleblowers.** Europe is **wider**; the United States is confined to reporting to the authorities or a court.
6. **Criminal liability.** Total divergence. The United States criminalises theft federally with up to fifteen years, the Directive **creates none**, and India has **no dedicated offence** either.

How to close a comparative answer. Europe protects **due process** by guaranteeing party access, at the cost of a greater leakage risk. The United States protects the **secret** through attorneys eyes only access, at the cost of due process. Each system has chosen the opposite side of the same trade off.

Part 10. India

10.1 The starting position

India has no specific trade secret law. Courts nonetheless protect secrets through a patchwork of contract law, copyright law, the principles of equity, the common law action for breach of confidence, and parts of the Information Technology Act, 2000, although Section 72 of that Act is limited to electronic records.

The class identifies three weaknesses in the existing regime: it is **less effective where there is no contractual relationship**; there is **difficulty in obtaining damages**; and there is a **lack of sufficient procedural safeguards** against disclosure of trade secrets in civil or criminal litigation. The result is **costly litigation, judicial uncertainty and an uneven playing field** for innovation driven enterprises.

10.2 Is India in breach of TRIPS?

The orthodox answer is no. Article 39 requires only the **possibility** of preventing misuse and does not prescribe a legal form, so contract plus equity arguably supplies it. The class draws this inference expressly from the word possibility.

The counter argument, accepted in substance by the Law Commission, is that the route is so uncertain and so poor in remedies that it is not **effective** protection.

There is also a historical argument on India's side. The **1989 General Agreement on Tariffs and Trade discussion paper on India** establishes that **trade secrets cannot be considered intellectual property rights**, because **the fundamental basis of an intellectual property right rests in its disclosure, publication and registration**, while trade secrets are premised on secrecy and confidentiality. It concludes that **secrecy and confidentiality should be governed by contractual obligations and appropriate civil law, not by intellectual property law**.

State both sides. Never state only one. This is the single most likely essay question on the Indian portion.

10.3 Section 27 of the Indian Contract Act, 1872

Every agreement by which any one is restrained from exercising a lawful profession, trade or business of any kind is, to that extent, void.

There is exactly **one exception in the section itself**. **Exception 1** saves an agreement by which a person who **sells the goodwill of a business** agrees not to carry on a similar business within specified local limits, so long as the buyer or a successor carries on a like business there, and provided the limits appear **reasonable** to the court having regard to the nature of the business.

Slide error. One slide describes Section 27 as having a narrow **partnership** exception. That is wrong. The only exception in Section 27 is the **sale of goodwill**. The partnership related exceptions sit in the **Indian Partnership Act, 1932, Sections 11(2), 36(2), 54 and 55(3)**.

An **agreement in restraint of trade** is one in which a party agrees to restrict his liberty, **in the present or the future**, to carry on a specified trade or profession with persons who are not parties to the contract, without the other party's express permission.

Two features give the section its force. The voidness is **not a presumption but the default position**. And the section carries **no qualification**, so voidness applies **regardless of the duration, the geography or the money paid**. The tension is between the employer's interest in protecting proprietary knowledge and the employee's **right to livelihood under Article 21** and **right to practise any profession under Article 19(1)(g)**.

10.4 The distinction that decides almost every Indian case

1. A covenant operating **during** the contract, binding the employee to serve exclusively, is **valid** and outside Section 27.
2. A covenant operating **after** termination, restraining a competing trade or profession, is **void**, subject only to the goodwill exception.
3. An obligation of **confidentiality** over identified information is **valid after termination and can last indefinitely**, ending only when the information enters the public domain, not when the employment ends.

The single most useful practical conclusion in the module. In India, **draft the confidentiality clause, not the non compete**. The non compete will fail. The confidentiality obligation will not.

The history runs through four dates. **1711**, ***Mitchel v Reynolds*** introduces the reasonableness test in English law. **1872**, Section 27 codifies a far stricter Indian position with only the goodwill exception. **1980**, ***Krishan Murgai*** reaches the Supreme Court. **2024**, the Law Commission proposes a Bill, still unenacted.

Mitchel v Reynolds

(1711) 1 P Wms 181; 24 ER 347. Court of Queen's Bench, Lord Macclesfield.

Facts. Reynolds leased Mitchel a **bakehouse in Liquorpond Street, in the parish of St Andrew Holborn, London**, for five years, and bonded himself in fifty pounds not to bake in that parish during the term. He resumed baking and Mitchel sued on the bond.

Decision. The bond was **enforced**.

Principle. A **general restraint**, unlimited as to space, is void. A **particular restraint**, limited in time and place and supported by good consideration, may be valid. All restraints are **presumed bad, but the presumption is rebuttable**. This is the reasonableness idea that **Section 27 deliberately rejected** for post termination restraints. *Slide error: one deck places the bakehouse in Liverpool, probably because of the street name. It was in London.*

Niranjan Shankar Golikari v Century Spinning and Manufacturing Co Ltd

AIR 1967 SC 1098. Supreme Court, Shelat and Bachawat JJ, 17 January 1967.

Facts. Golikari joined Century Rayon at Kalyan as **Shift Supervisor** on a five year contract with a negative covenant barring similar employment elsewhere **during the term**, and requiring secrecy about a **tyre cord yarn** process obtained from a foreign collaborator. After about nine months of training he joined a competitor at Kotah for higher pay.

Decision. Injunction **upheld**.

Principle. A negative covenant operating **during the term** is generally **not** a restraint of trade and is outside Section 27, **unless the contract is unconscionable, excessively harsh, unreasonable or one sided**. The restraint here was limited in **time, area and type of employment**, and protected genuine confidential technical knowledge. The Court noted expressly that the considerations **differ** for a restraint operating after the contract ends.

Gujarat Bottling Co Ltd v Coca Cola Co

(1995) 5 SCC 545. Supreme Court, Agrawal and Saghir Ahmad JJ, 4 August 1995.

Facts. A bottling and franchise agreement barred Gujarat Bottling, **during the term**, from dealing in competing products.

Decision. Not in restraint of trade, and enforceable.

Principle. Section 27 addresses restraints operating **after** an agreement ends. During the currency of the agreement the parties have chosen to deal exclusively with each other, which **furtheres rather than restrains trade**. **Golikari** is the employment version and **Gujarat Bottling** the commercial version of the same rule, so cite them together to show the rule is not confined to employment.

Superintendence Company of India (P) Ltd v Krishan Murgai

AIR 1980 SC 1717; (1981) 2 SCC 246. Supreme Court, Tulzapurkar, Untwalia and Sen JJ, 9 May 1980. An appeal against an interlocutory order refusing a temporary injunction.

Facts. Murgai was **Branch Manager at New Delhi**. Clause 10 barred him for **two years after leaving** from serving or engaging in any competing business. The company **terminated** his services in December 1978, and he set up his own competing business.

Decision. Appeal dismissed, injunction refused, but **the Court was divided in its reasoning**, and this is the point most often got wrong.

Principle. The majority, **Tulzapurkar and Untwalia JJ**, decided the case on the **construction of clause 10**, holding that the covenant applied only where the employee **left of his own volition** and **not where the employer terminated him**, so Section 27 did not have to be decided. **Justice Sen, separately**, held that a post service restrictive covenant is **void under Section 27 regardless of reasonableness**, rejecting the English partial restraint doctrine. The class slides add the Court's observations that there is an **inherent inequity in the bargaining power** of employee and employer, so much so that the employee may give no thought to the substance of the contract at appointment, and that the restraint should **not be greater than necessary to protect the employer nor unduly harsh or oppressive to the employee**; on that basis the Court **disfavoured a broad post termination covenant** as unduly affecting the employee's means of procuring a livelihood.

Two slide errors on this case. One deck says the Supreme Court laid down the definitive **reasonableness test** and calls the case the **constitutional precedent** for negative covenants. Both are inaccurate. The majority **applied no reasonableness test**; it construed the clause. Sen J held the **opposite** of a reasonableness enquiry. And the case turns on the **Contract Act, not constitutional law**. Say that the Court was divided. Examiners reward that. The practical lesson also matters: **if a covenant is drafted to bite only when the employee resigns, an employer who dismisses him cannot rely on it.**

Percept D'Mark (India) Pvt Ltd v Zaheer Khan

(2006) 4 SCC 227. Supreme Court, Sema and Dr AR Lakshmanan JJ, 22 March 2006. Arising from a petition under Section 9 of the Arbitration and Conciliation Act, 1996 for interim relief.

Facts. The cricketer's promotion agreement with Percept contained **clause 31(b)**, a **right of first refusal** requiring him, after the agreement ended, to offer Percept the chance to match any third party offer. On expiry he contracted with a different agency.

Decision. Relief refused.

Principle. Clause 31(b) was hit by Section 27 because it restricted his **future** liberty to deal with persons of his choice **beyond the tenure of the contract**. The doctrine of restraint of trade does not apply during a contract but **does apply once it ends**. The Court **also refused the injunction in its discretion**, because money could compensate Percept and an injunction would amount to **specific performance of a personal service contract** where mutual trust was eroded. *The case extends the post termination voidness rule beyond employment to service relationships generally.* **Slide error: calling the covenants categorically void overstates a decision given at the interim relief stage that rested substantially on discretion as well as on Section 27.**

Varun Tyagi v Daffodil Software Private Limited

2025:DHC:5015; 2025 SCC OnLine Del 4589. Delhi High Court, Tejas Karia J, 25 June 2025, FAO 167 of 2025.

Facts. Tyagi's employment agreement contained **clause 2.16**, barring him for **three years** after cessation from engaging with any **Business Associate** of Daffodil. Daffodil had been engaged by **Digital India Corporation** to supply developers for the Government's **POSHAN Tracker** project. Tyagi worked on the project, resigned, served his notice period, and then joined **Digital India Corporation itself**.

Decision. Appeal allowed and the injunction **quashed**.

Principle. Any term restricting an employee's right to be employed after termination is **void under Section 27**, save under Exception 1. Once a clause falls within Section 27, a **reasonableness or partial restraint analysis is irrelevant**, so the extent or duration makes no difference. On confidentiality, the **intellectual property in the POSHAN Tracker project belonged to Digital India Corporation**, not to Daffodil, so the fear of disclosure was misconceived. The court relied on **Indus Power Tech Inc v Echjay Industries**, 2024 SCC OnLine Bom 3349.

Two principles to carry into the hall. **Specific misuse of a trade secret must be proven**, because a general threat of potential competition is legally insufficient. And **courts will not injunct merely because an employee possesses knowledge that could theoretically benefit a competitor.** *Slide error: the deck says the court held that using confidentiality as a backdoor to restrain employment directly contravenes the Constitution. The judgment reasons entirely on Section 27 and contains no constitutional holding.*

Three further restraint of trade cases

1. **Desiccant Rotors International Pvt Ltd v Bappaditya Sarkar**, 2009 SCC OnLine Del 1926, Delhi High Court, Manmohan Singh J, 14 July 2009. Where the employer's wish to avoid competition clashes with the employee's right to seek employment, **the right of livelihood prevails**. A post employment

non compete is void, but **non solicitation of customers and suppliers and protection of genuinely confidential information may be enforced.**

2. **V F S Global Services Ltd v Suprit Roy**, 2008 (2) Bom CR 446, Bombay High Court, Chandrachud J, 10 December 2007. A **garden leave** clause operating after termination does **not renew the employment contract** and is prima facie in restraint of trade, so it is hit by Section 27.
3. **Lalbhai Dalpatbhai and Co v Chittaranjan Chandulal Pandya**, AIR 1966 Guj 189, Gujarat High Court, Bhagwati and Shah JJ, 14 April 1965. A negative stipulation in a personal service contract operating **during the term** may be enforced if reasonable between the parties and not injurious to the public. *Some sources wrongly cite this as AIR 1996 Guj.*

10.5 Equity and breach of confidence

The most important feature of Indian law is that a confidentiality obligation can arise **independently of any contract**, because equity fills the space where legislation and contract are silent. As an equitable doctrine it is **not as easy to enforce as a contract**, and it **does not confer a property right, but it does bind the conscience of the person receiving the secret**. It is used for trade secrets, know how, customer information and commercialisation information; as a **non contractual remedy** to protect the development of ideas or patentable information; and as a **quasi privacy right**.

There are **three elements**, and a fourth in one situation:

1. **confidential information**;
2. **disclosed in circumstances of confidence**; and
3. **actual or threatened disclosure**.
4. A **fourth element applies to Government information**, where disclosure would be **against the public interest**.

Equity adds two things contract cannot. It **prevents unjust enrichment**, allowing an **account of profits** and a **constructive trust** where a former employee builds a business on a stolen formula or client strategy. And it **reaches non parties**, because contract binds only parties while equity reaches a third party who receives information with notice.

Defences

1. **Disclosure or public knowledge**. Where the information is in the public domain it is unlikely to be confidential. **Reverse engineering does not breach an equitable obligation of confidence**, though the class notes candidly that **the legal reason for this is not clear**.
2. **A former employee legitimately using his skills** in the course of ordinary trade.
3. **Public interest**. The public interest in maintaining confidence can be **outweighed by another public interest favouring disclosure**, so the two must be weighed.

10.6 The springboard doctrine

A person who has obtained information in confidence is not allowed to use it as a springboard for activities detrimental to the person who made the confidential communication, and springboard it remains even when all the features have been published or can be ascertained by actual inspection by any member of the public.

Why the doctrine is striking. The obligation **survives publication**, when publication ordinarily destroys confidentiality and so destroys the secret. It is therefore a doctrine about **unfair advantage**, not about secrecy.

The formulation originates in **Terrapin Ltd v Builders' Supply Co (Hayes) Ltd**, [1960] RPC 128, a decision of Roxburgh J, so attribute it there and not to an Indian judgment. In India it has applied since 1987 through **John Richard Brady**, and it was restated in **Fairfest Media Ltd v Lte Group Plc and Ors** (2015), where the Calcutta High Court said that the essence of this branch of law, whatever its origin, **is that a person**

who has obtained information in confidence is not allowed to use it as a springboard for activities detrimental to the person who made the confidential communication. Courts have taken a grim view of employees using confidential information as springboards in their own business or career.

10.7 The foundational English authorities

Saltman Engineering Co Ltd v Campbell Engineering Co Ltd

(1948) 65 RPC 203. *One class slide gives the date as [1963]; the correct citation is 1948.*

Facts. The plaintiffs alleged copyright in **drawings of tools for the manufacture of leather punches**. The defendants, who were to manufacture those tools under contract, **converted them to their own use**, wrongfully detained them and made leather punches for themselves.

Decision. Obtaining the information to manufacture, from the drawings or from the tools made in accordance with them, was a **breach of confidence**.

Principle. If a defendant is proved to have used confidential information obtained directly or indirectly from a plaintiff, **without express or implied consent, he infringes the plaintiff's rights**. Confidence rests on the **broad equitable principle** that one who receives information in confidence shall not take unfair advantage of it, and **does not depend on any implied contract**.

The Saltman test of what makes information confidential, quoted throughout the Indian cases. It **must not be something which is public property or public knowledge**. It is perfectly possible to have a confidential document, be it a formula, a plan or a sketch, which is the result of work done by the maker **on materials available to anybody**; but **what makes it confidential is that the maker has used his brain and produced a result which can only be produced by somebody who goes through the same process**.

Coco v A N Clark (Engineers) Ltd

[1969] RPC 41, decided 1968. Chancery Division, **Megarry J.** *One class slide names the judge as Garry J; it was Megarry J.*

Facts. Coco designed a **moped engine** and shared drawings and information with Clark for a proposed joint venture. The venture collapsed and Clark marketed a moped of its own.

Decision. Interlocutory injunction **refused**, there being no strong prima facie case, with an undertaking to pay a royalty into a joint account.

Principle. The **three requirements** of an action for breach of confidence: the information must have the **necessary quality of confidence**; it must have been **imparted in circumstances importing an obligation of confidence**; and there must have been an **unauthorised use of it to the detriment of the party communicating it**. The class adds the practical gloss that where commercial or industrial information is given on a **business like basis with an avowed common object**, such as a joint venture, **the recipient carries a heavy burden** if he tries to deny an obligation of confidence.

Faccenda Chicken v Fowler

[1987] Ch 117.

Facts. A **sales manager** learned the **customer lists and pricing policy** of his employer, resigned and set up a rival company.

Decision. **No breach of confidence** on the facts. He was not trying to cheat the employer or do anything dishonest, there was **no bad faith**, and he was simply using the knowledge he had to work a business.

Principle. Information acquired by employees falls into **three categories**: **public or trivial information**; **confidential information**, which cannot be used during employment but **can be used afterwards provided it was not memorised or surreptitiously removed**; and **trade secrets**, which **cannot be used after employment**.

Attorney General v Guardian Newspapers Ltd

Facts. Publication of claimed government secrets from a book about the British Secret Service. A former MI5 agent **moved to Tasmania to escape United Kingdom law**; the British could not enforce their legislation there, the information was leaking rapidly, and an injunction was not available.

Principle. A **duty of confidence arises when confidential information comes to the knowledge of a person in circumstances where he has notice, or is held to have agreed, that the information is confidential**, with the effect that it would be just in all the circumstances that he should be precluded from disclosing it. **This imposes an obligation on third parties.**

10.8 Skill against secret

The most consequential recurring distinction in Indian law is between what an employee **learns** and what the employer **owns**:

1. **General skill and knowledge**, meaning technical know how, industry expertise and professional competence developed during employment, belongs to the **employee**. Courts will not restrict its use **regardless of what the agreement says**.
2. **A proprietary trade secret**, meaning specific formulae, client databases, pricing algorithms and technical blueprints unique to the employer and actively guarded, belongs to the **employer**.
3. **The danger zone** is the employer who labels general familiarity as a trade secret to prevent labour mobility. Courts have **consistently and firmly rejected** this as an impermissible restraint of trade.

10.9 What counts as a trade secret in India

Ambience India Pvt Ltd v Shri Naveen Jain

Delhi High Court, 2005.

Principle. A trade secret is **protected and confidential information which the employee has acquired in the course of his employment and which should not reach others in the interest of the employer**. However, **routine day to day affairs of the employer which are in the knowledge of many and are commonly known to others cannot be called a trade secret**.

American Express Bank Ltd v Ms Priya Puri

(2006) III LLJ 540 (Delhi); 2006 SCC OnLine Del 638. Delhi High Court, Anil Kumar J, 24 May 2006, at the interim injunction stage.

Facts. Priya Puri headed **wealth management** at the bank. Her job was meeting customers and prospective clients, explaining the facilities available and advising on investments, and she developed close and to some extent personal contact with them. She resigned and joined a competitor. The bank alleged that the **client list** was confidential information she had taken.

Decision. The client list was **not** a trade secret. Injunction refused.

Principle. Four strands. Client data largely publicly available or known to the customer is **not secret**. Much of what she carried away was **her own skill**, and restraining that engages her **right to livelihood**. An employer **cannot use confidentiality to create a monopoly over customers**, and the once a customer always a customer argument was rejected. And **post termination restrictions are void under Section 27**. The competitor bank was also not a party, so customers could not be restrained indirectly. The court also restated the **Ambience** formulation: routine day to day affairs are not trade secrets, while a **formula, technical know how, or a peculiar mode or method of business unknown to others** can be.

Priya Puri is India's answer to inevitable disclosure. A real apprehension that a former employee **knows the customers and will approach them** is **not enough**, because some information is **inseparable from a person's mind** and cannot be surgically removed on changing employers.

What the Indian decisions cover

Taken together the cases show that trade secrets can be **formulae, technical know how, or a peculiar mode or method of business unknown to others; joint venture agreements, loan agreements, and lists of clients or disclosure agreements relating to clients; and financial arrangements, customer lists, cost and pricing information, projected capital investments and inventory marketing strategies.** Four cases, *Fairfest, Diljeet Titus v Alfred A Adebare* (2006), *Hi Tech Systems and Services Ltd v Suprabhat Ray* (2015) and *Burlington Home Shopping*, establish that **information duly protected by its owner, and potentially damaging to the owner if disclosed, is covered.**

Tata Motors v State of West Bengal

The definition adopted. Black's Dictionary: **a formula, process, device or other business information that is kept confidential to maintain an advantage over competitors; information including a formula, pattern, compilation, program, device, method, technique or process that (i) derives independent economic value, actual or potential, from not being generally known or readily ascertainable by others who can obtain economic value from its disclosure or use, and (ii) is the subject of reasonable efforts, under the circumstances, to maintain its secrecy.**

Facts. Disclosure under the **Right to Information Act** of Tata's agreement with the Government of West Bengal for production of the **Nano**. Tata claimed the information was **commercially sensitive** and hence a trade secret.

Decision and principle. The court held that the agreement **involved finances, which is public money, and so in the greater public interest the agreement should be disclosed.** *Trade secrecy yields to the public interest where public money is involved.*

10.10 Client lists and solicitation

This is one of the most commercially charged disputes in Indian employment law, and the courts take a middle position:

1. **Protectable.** A **systematically compiled client database**, including purchasing histories, preference data and contact hierarchies, built at company expense and kept as a confidential record, can qualify as a trade secret.
2. **Not protectable.** Where the relationship with a client rests on **personal rapport, trust and a reputation built independently**, courts generally allow the employee to keep and service it after leaving.
3. **The trend.** Courts prevent unfair exploitation of proprietary client data while refusing to let employers **monopolise an employee's entire professional network.**

The question is never whether the information is about clients. It is whether the employer built the information or merely knows the people. That reconciles *Priya Puri*, where a publicly available list failed, with the cases where a genuinely compiled database succeeded.

Two cases complete the picture. In *Hi Tech Systems and Services Ltd v Suprabhat Roy*, the court found the respondents were **soliciting the plaintiff's customers using confidential information acquired while working for the plaintiff**, and issued an injunction restraining them **from orchestrating any breach of an existing contract of the plaintiff with third parties**, because breach of an existing contract entitles the plaintiff to **equitable relief**. In *Embee Software Pvt Ltd v Samir Kumar Shaw and Ors*, the Calcutta High Court held that a **non solicitation clause does not amount to restraint of trade and is not hit by Section 27**, and that an **ex employee cannot solicit so as to damage the ex employer's business even without such a clause.**

10.11 Confidence protects ideas that copyright cannot

Zee Telefilms Ltd v Sundial Communications Pvt Ltd

2003 (5) Bom CR 404; 2003 (27) PTC 457. Bombay High Court, Division Bench, A P Shah and D K Deshmukh JJ, 27 March 2003.

Facts. Sundial developed a **concept for a television serial about Lord Krishna as a child**, with concept notes, character sketches and plots, registered it with the writers' and producers' association, and disclosed it in confidence to Zee. Negotiations lapsed, and Zee then produced a **strikingly similar serial**.

Decision. Relief granted for breach of confidence; the similarities were **not coincidental**.

Principle. The **law of confidence is broader than and distinct from copyright**. There is **no copyright in an idea**, but information imparted in confidence is protectable in its own right. A claimant must **identify the information**, show it was **handed over in confidence**, show it **could be treated as confidential**, and show **unauthorised use or threatened use**.

Slide caution. One deck presents in **quotation marks** a sentence attributed to this judgment, beginning that there is no specific legislation in India dealing with trade secrets. **That quotation could not be verified in the reported judgment. Do not reproduce it as a quotation.** State the proposition in your own words and cite the case for the reasoning.

Anil Gupta v Kunal Dasgupta

97 (2002) DLT 257.

Facts. The plaintiff conceived the idea of **Swayamvar**, a reality television show about match making, and shared a **concept note** with the defendants. He later read that the defendants were planning a **big budget reality matchmaking show using his concept**.

Issues. Whether there can be copyright in an **idea, subject matter, theme or plot existing in the public domain**, and whether there is a violation if the theme is the same but is **presented and treated differently**.

Decision and principle. Injunction **granted**. The concept was **the result of work done by the plaintiff upon material available in the public domain**, and **what made it confidential was that the plaintiff had used his brain and thus produced a unique result applying the concept**. The class adds that secrecy should be maintained through **an appropriate policy, adequate documentation and legal instruments such as a non disclosure agreement**, and that **trade secrets are considered the owner's property**, so there is no rule of public interest invalidating an agreement that prevents their transfer against the owner's will.

10.12 The copyright interface

Databases are protected by copyright, because **Section 2(o)** of the Copyright Act, 1957 defines compilations including computer databases as **literary works**. In theory the two regimes protect different things, **copyright protecting the expression in a compilation and trade secret law protecting the underlying data**, so treating a database as a secret can be **the stronger protection** because it reaches the inherent data rather than the form or layout. In practice the two **frequently converge**: copyright in business directories often extends to the underlying data, and trade secret protection may extend to particular expressive arrangements of data.

Burlington Home Shopping Pvt Ltd v Rajnish Chibber

61 (1995) DLT 6. Delhi High Court.

Facts. A **mail order service company** sued its employee for an injunction restraining breach of copyright and confidentiality.

Decision and principle. Although its sources may be commonly situated, a compilation of addresses developed by devoting time, money, labour and skill amounts to a literary work in which the author has a copyright. The defendant's database was **substantially a copy**, and the interim injunction was granted.

The strategic point worth making in an answer. Because there is no trade secret statute, the **copyright route is often easier**. It gives a statutory cause of action and statutory remedies, and it **does**

not require proof of reasonable steps. A well advised Indian plaintiff pleads **copyright infringement, breach of confidence and breach of contract in the alternative.**

10.13 Pleading and proving the secret

Navigators Logistics Ltd v Kashif Qureshi

2018 SCC OnLine Del 11321. Delhi High Court, Endlaw J, 17 September 2018, CS(COMM) 735 of 2016, on an application to reject the plaint under Order VII Rule 11.

Facts. A freight forwarding company sued twelve defendants, including eight former employees alleged, on the basis of recovered Skype chats, to have conspired to divert business to a competitor. It claimed copyright in customer databases and airway bill templates, breach of confidentiality, and breach of a one year non compete.

Decision. Plaint **rejected** and suit dismissed.

Principle. Four holdings. On **specificity**, vague and high sounding pleadings that do not identify the specific confidential information cannot support an injunction, because **such an injunction would be unenforceable**. On **customer lists**, a list with publicly available contact details is **not a trade secret unless the secrecy itself carries economic value**. On **copyright in databases**, the claim failed for want of a disclosed author, a company being incapable of authorship, and for failing to plead the **skill and judgment** required after *Eastern Book Company v D B Modak*. And on **Section 27**, the non compete was void. A *Division Bench gave partial relief against the rejection on 20 November 2024, so mention the appeal if you cite the case.*

Ritika Pvt Ltd v Biba Apparels Pvt Ltd

Delhi High Court, DE 0784 2016.

Facts and decision. A suit for infringement of the plaintiff's **clothing designs**. If an injunction is sought in respect of trade secrets, **the specific trade secrets must be mentioned, and how the plaintiff owns them**; only then will a court consider an injunction. **A general order in respect of an unspecified trade secret cannot be passed.** No relief was available under the Copyright Act either, because **Section 15(2)** provides that **once a drawing, sketch or design has been used for creation of more than fifty garments, no copyright subsists in it.**

Genetics India Pvt Ltd v Shailendra Shiv

2011 (47) PTC 494.

Principle. Pleadings of the nature and quality of the information which is confidential are crucial, and in the absence thereof there is no question of confidentiality. Beyond pleading confidentiality, **the plaintiff must prove that reasonable efforts were made to keep it confidential**, failing which the information **risks losing the quality of confidentiality**. Further, if the information and technique are **neither unique nor novel**, and the database merely documents existing material freely available or widely practised, there is no confidentiality. **The mere fact that information is in a database does not make it confidential: it must also have the requisite exclusivity.**

The constitutional limit on over claiming. If a court were to accept, **uncritically and without any statutory regime**, a plaintiff's blanket assumption that it possessed confidential information in something plainly part of the public's material resources, **that court would overstep the mandate of the Constitution**, specifically the rights to **occupation under Article 19(1)(g) and livelihood under Article 21.**

10.14 Equity reaches beyond privity

Homag India Pvt Ltd v Ulfath Ali Khan and IMA AG Asia Pacific PTE Ltd

MANU/KA/1569/2012. Karnataka High Court, 10 October 2012.

Facts. Homag's former employee, bound by confidentiality and a one year non compete, allegedly **emailed confidential customer information** to the competitor IMA and signed with IMA before resigning. The trial judge enjoined the employee but **refused relief against IMA for want of privity of contract**.

Decision. The **absence of a contract, and of its breach, between Homag and the second defendant does not mean there is no actionable right**.

Principle. Relying on *Saltman*, the maintenance of secrecy rests either on the **principles of equity**, the court applying the need for conscientiousness in conduct, or on the **common law action for breach of confidence**, which is in effect a breach of contract. Saltman also gives three situations: an employee who comes into possession of confidential information in the normal course and **carelessly or deliberately passes it** to an unauthorised person; an unauthorised person such as a **new employer who incites** the employee to supply it; and a **licensee of know how** who breaches an express or implied condition of secrecy. On the material the court found a prima facie case that IMA had used the information **as a springboard**.

Pair Brady with Homag. *Brady* says **confidentiality does not depend on a contract**. *Homag* says **the remedy does not depend on privity**. Between them, an Indian employer can reach both the employee and the new employer.

10.15 John Richard Brady v Chemical Process Equipments P Ltd

AIR 1987 Delhi 372. Delhi High Court, A B Saharya J, 6 July 1987, on an interim injunction application.

Facts. Brady, an American mechanical engineer, had invented a **fodder production unit** capable of growing green fodder all year round. For indigenous production he approached the defendant for **specialised thermal panels**, sharing technical material, detailed know how, drawings and specifications. An arrangement was set out, but the plaintiffs found the defendant **could not in fact supply** the panels and no order was placed. They then discovered the **defendant's own fodder production unit**, substantially similar though inferior.

Issues. Whether the defendants' unit was based on the plaintiffs' drawings and know how passed **under the express condition of confidentiality**, and whether the technical drawings were **artistic works** protected by copyright.

Decision. Interim injunction **granted**, on both breach of confidence and copyright in the drawings, the defendant having made a **three dimensional article** from them.

Principle. **Even in the absence of an express confidentiality clause, confidentiality is implied.** Following *Saltman*, breach of confidence rests on a **broad equitable principle** and **does not depend on any implied contract**. The **springboard doctrine applies even without a non disclosure or any other agreement**, because **the law of trade secrets is not subject to contracts**.

Brady is the leading Indian authority for two propositions at once: a duty of confidence arises **from the nature of the relationship alone**, and the **springboard doctrine applies in India**. It matters because it protects the situation where **formal documentation was simply overlooked**, which is the common reality in India's large informal business sector.

10.16 Criminal remedies, stated honestly

There is **no offence of trade secret misappropriation** in Indian law. Prosecutions use general provisions such as **theft, criminal breach of trust and cheating** under the general penal law, formerly the Indian Penal Code, 1860 and now the **Bharatiya Nyaya Sanhita, 2023**, together with the computer offences in the Information Technology Act.

The difficulty is conceptual. **Theft requires the dishonest taking of movable property**, and information **copied but left in place** is not obviously taken, nor is information obviously movable property. That is the Indian version of the problem the Second Circuit met in *Aleynikov*.

10.17 The Information Technology Act, 2000

1. **Section 72** penalises a person who, having secured access **in pursuance of powers conferred under the Act, rules or regulations**, discloses information without consent. Read those words carefully: it binds persons who obtained access **under statutory powers**, principally officials, and it is **limited to electronic records**. It is **not** a remedy against a private employee who steals data.
2. **Section 43A** requires a body corporate handling **sensitive personal data**, negligent in implementing reasonable security practices and causing wrongful loss or gain, to pay compensation.
3. **Section 72A** penalises disclosure of **personal information** by a person providing services under a lawful contract, without consent or in breach of it, with intent to cause or knowledge of likely wrongful loss or gain.
4. **Section 66 read with Section 43** covers **unauthorised access, downloading and copying** of data. In practice this is the provision that actually helps in a data theft case.

The honest conclusion. The Information Technology Act is a **data security and privacy statute, not a trade secret statute**. It helps where there was unauthorised computer access. It **does not define, or protect as such, a trade secret**. The **Digital Personal Data Protection Act, 2023** has amended parts of this framework, so verify current penalty figures before quoting them.

10.18 Remedies, and the Anton Piller danger

The civil remedies available are an **injunction**, including an ex parte ad interim injunction; **damages** for breach of contract or an **account of profits** in equity; **delivery up or destruction** of documents and materials; a **declaration**; appointment of a **local commissioner** for search, seizure and inventory; and **John Doe or Ashok Kumar orders** where the misappropriator is unidentified.

Anton Piller KG v Manufacturing Processes Ltd

[1976] Ch 55. Court of Appeal, Lord Denning MR, Ormrod and Shaw LJ, 8 December 1975.

What it is. An **ex parte civil search order**, now called a search order, permitting the plaintiff to enter the defendant's premises and **seize evidence before the defendant is notified**, so as to prevent destruction of evidence.

The three conditions, laid down by Ormrod LJ:

- (a) an **extremely strong prima facie case**;
- (b) **very serious actual or potential damage** to the applicant; and
- (c) **clear evidence** that the defendants possess incriminating material and a **real possibility that they will destroy it** before an application on notice can be made.

Lord Denning stressed that the order operates **in personam**, compelling the defendant to give permission to enter rather than authorising forcible entry, and that it lies **at the extremity of the court's powers**. Safeguards were later added in **Columbia Picture Industries v Robinson**, [1987] Ch 38 and **Universal Thermosensors Ltd v Hibben**, [1992] 1 WLR 840, requiring execution in office hours, a supervising solicitor, and a list of items prepared before removal.

The criticism. The **asymmetric burden** on defendants, who have **no notice and no hearing before the search**, creates fertile ground for abuse. A competitor can use the order to **disrupt operations, reach privileged communications and cause reputational harm** before a single substantive issue is argued. The absence of robust statutory safeguards makes it a **potential instrument of abuse**.

Slide caution. One deck links this to **M Sivasamy v Vestergaard Frandsen**. Handle it carefully. Vestergaard did obtain a search and seizure order against the Indian defendants on **2 April 2007** and pursued contempt proceedings, so the litigation did involve this relief. But the reported Delhi High Court decision, **2009 SCC OnLine Del 2310**, a Division Bench judgment of 7 August 2009, concerns **discovery and production of documents** and sealed cover confidentiality, **not Anton Piller safeguards**. The related decision **Vestergaard Frandsen A/S v Bestnet Europe Ltd**, [2013] UKSC 31 of 22 May 2013, is a separate case

in which Lord Neuberger held that a person who **neither acquired nor knew of the misuse** is not liable, because the action rests ultimately on conscience.

The best comparative point on remedies. Contrast the **three judge made** Anton Piller conditions with the **eight codified** conditions for civil seizure under the Defend Trade Secrets Act, together with its hearing within seven days, its security requirement and its remedy for wrongful seizure. **India has judicial discretion; the United States has a statutory checklist.**

10.19 Three judicial discrepancies

1. **The specificity standard.** *Navigators Logistics* requires precise identification of the secret, yet other benches have granted injunctions on broadly described confidential information. Outcomes are **unpredictable**, and there is no principled basis for advising a client before litigation.
2. **The Anton Piller threshold.** Some courts grant search orders on **thin affidavit evidence**, while others require a detailed showing of urgency, harm and the futility of an order on notice. With **no codified standard** the threshold rests wholly on discretion.
3. **The duration of equity.** Courts disagree on **how long an obligation of confidence lasts** after employment ends, some applying a perpetual standard tied to continued secrecy and others a reasonable temporal limit.

10.20 Law Commission Report 289 and the 2024 Bill

The Department of Legal Affairs and the Legislative Department referred the question to the Law Commission by a letter dated **10 October 2017**. The **22nd Law Commission**, chaired by **Justice Ritu Raj Awasthi**, submitted **Report No 289, Trade Secrets and Economic Espionage**, with a forwarding letter of **5 March 2024**, recommending a standalone **sui generis** statute and annexing a draft **Protection of Trade Secrets Bill, 2024** of **thirteen clauses in four chapters**.

As of early 2026, no Bill has been introduced in Parliament and no formal Government response is recorded. Treat it as a **recommendation, not pending legislation**.

Key provisions

1. **The definition** follows TRIPS Article 39, with **no proprietary or monopoly conception**.
2. **Section 2(f)** explains that **the experiences and skills acquired by an employee in the normal course are not a trade secret**, codifying the skill against secret line.
3. **A statutory cause of action** for misappropriation, so a claimant no longer relies solely on contract or equity.
4. **Misappropriation is defined** for the first time in Indian law: unauthorised **acquisition** by theft, bribery or misrepresentation; unauthorised **use** of a secret obtained by improper means; and unauthorised **disclosure** in breach of a duty of confidence. Liability extends to **third party recipients who knew or had reason to know**.
5. **Reverse engineering and independent discovery are expressly protected**, so protection does not become a monopoly on knowledge.
6. **Section 5** creates a **whistleblower and public interest defence**, modelled on the United States provision.
7. **Section 6** permits **compulsory licensing** in a national emergency or extreme urgency involving substantial public interest, such as public health, with confidentiality obligations and licence fees, terminable when the emergency ceases. Disclosure is **to a licensee under confidentiality, not to the public**.
8. **Section 7** gives injunction, damages or an account of profits, and destruction of infringing material. **Section 8** gives jurisdiction to the **Commercial Courts**. **Section 9** preserves confidentiality of proceedings.

9. **Section 10** gives a remedy for **groundless threats**, which protects employees whose mobility is curtailed under the guise of trade secrecy. **Section 13** is a savings clause.
10. **No registry** is created, a mandatory registry having been rejected because of the **risk of leakage**, and the Bill provides **civil remedies only**.

Innovations and the remaining gaps

The **innovations** are legislative precision in defining misappropriation, replacing judicial improvisation; **whistleblower protection**, which currently has no legislative basis in India; **duration clarity**, tying protection to the continued confidential nature of the secret; and **third party liability**, codifying the equitable principles from *Brady* onwards. The **gaps** are:

1. **The Section 27 conflict is unresolved**, because the Bill does not amend or address it, so post termination voidness remains and the fundamental tension is untouched.
2. **No criminal sanctions**, which may limit deterrence against sophisticated espionage, so India would still have no offence.
3. **No Anton Piller framework**, leaving that powerful remedy unregulated.
4. **The specificity standard** identified in *Navigators Logistics* is not resolved, so pleading uncertainty may persist.

10.21 Policy developments

On **12 May 2016** India approved the **National IP Rights Policy**, which has **seven objectives**. One is to ensure an effective legal and legislative framework, and the steps towards it include identifying areas for future policy development. **One such area identified was the protection of trade secrets.**

At the **United States and India Trade Policy Forum** on **20 October 2016** in **New Delhi**, India's representatives noted that **India protects trade secrets through a common law approach** and reiterated the commitment to strong protection. It was agreed that a **toolkit** would be prepared for industry, especially small and medium sized enterprises; that a **training module on trade secrets for judicial academies** may be considered; and that a **further study of legal approaches** would be undertaken in India.

Part 11. Complete list of cases, topic wise

Every case named across all six decks and the syllabus, arranged by topic. Citations are the verified ones where verification was possible, and are otherwise given exactly as the class materials give them.

A. Meaning of confidential information

1. **Coco v A N Clark (Engineers) Ltd**, [1969] RPC 41, decided 1968. Chancery Division, Megarry J. The three requirements of breach of confidence.
2. **Saltman Engineering Co Ltd v Campbell Engineering Co Ltd**, (1948) 65 RPC 203. Confidence rests on equity, not on an implied contract; what makes information confidential is that the maker used his brain.
3. **Terrapin Ltd v Builders' Supply Co (Hayes) Ltd**, [1960] RPC 128. Roxburgh J. Source of the springboard doctrine.
4. **Faccenda Chicken Ltd v Fowler**, [1987] Ch 117. Three categories of employee knowledge; only trade secrets cannot be used after employment.
5. **Attorney General v Guardian Newspapers Ltd**. A duty of confidence arises where the confidant has notice, and it binds third parties.
6. **HRH Prince of Wales v Associated Newspapers Ltd**, [2006] EWCA Civ 1776. The test is whether it is in the public interest that the duty of confidence be breached.

B. Restraint of trade, the foundation

7. **Mitchel v Reynolds**, (1711) 1 P Wms 181; 24 ER 347. General restraints void, particular restraints may be valid; the presumption is rebuttable.

C. Covenants during the term, valid

8. **Niranjan Shankar Golikari v Century Spinning and Manufacturing Co Ltd**, AIR 1967 SC 1098. Supreme Court, 17 January 1967.
9. **Gujarat Bottling Co Ltd v Coca Cola Co**, (1995) 5 SCC 545. Supreme Court, 4 August 1995. The same rule in a commercial agreement.
10. **Lalbai Dalpatbhai and Co v Chittaranjan Chandulal Pandya**, AIR 1966 Guj 189. Gujarat High Court, 14 April 1965.
11. **Indus Power Tech Inc v Echjay Industries (P) Ltd**, 2024 SCC OnLine Bom 3349. Valid during the term, void after termination. Relied on in **Varun Tyagi**.

D. Covenants after termination, void

12. **Superintendence Company of India (P) Ltd v Krishan Murgai**, AIR 1980 SC 1717; (1981) 2 SCC 246. Supreme Court, 9 May 1980. Majority on construction of the clause; Sen J on Section 27.
13. **Percept D'Mark (India) Pvt Ltd v Zaheer Khan**, (2006) 4 SCC 227. Supreme Court, 22 March 2006. Extends the rule beyond employment.
14. **V F S Global Services Ltd v Suprit Roy**, 2008 (2) Bom CR 446. Bombay High Court, 10 December 2007. Garden leave after termination is still a restraint.
15. **Desiccant Rotors International Pvt Ltd v Bappaditya Sarkar**, 2009 SCC OnLine Del 1926. Delhi High Court, 14 July 2009. The right of livelihood prevails.
16. **Varun Tyagi v Daffodil Software Private Limited**, 2025:DHC:5015; 2025 SCC OnLine Del 4589. Delhi High Court, 25 June 2025. Specific misuse must be proved.

E. Equity and breach of confidence in India

17. **John Richard Brady v Chemical Process Equipments P Ltd**, AIR 1987 Delhi 372. Delhi High Court, 6 July 1987. Confidentiality implied without a contract; springboard doctrine applied.
18. **Homag India Pvt Ltd v Ulfath Ali Khan and IMA AG Asia Pacific PTE Ltd**, MANU/KA/1569/2012. Karnataka High Court, 10 October 2012. Equity reaches a third party despite absence of privity.

19. **Fairfest Media Ltd v Lte Group Plc and Ors** (2015), High Court of Calcutta. Restated the springboard principle for India.
20. **Sandhya Organic Chemicals P Ltd v United Phosphorous Ltd**, AIR 1997 Guj 177. Gujarat High Court, 4 February 1997. An employee's own skill will not be restrained.

F. What counts as a trade secret in India

21. **Ambience India Pvt Ltd v Shri Naveen Jain** (2005), Delhi High Court. Routine day to day affairs known to many are not trade secrets.
22. **American Express Bank Ltd v Ms Priya Puri**, (2006) III LLJ 540 (Del); 2006 SCC OnLine Del 638. Delhi High Court, 24 May 2006. A publicly available client list is not a trade secret; India's rejection of inevitable disclosure.
23. **Bombay Dyeing Manufacturing Company v Mehar Karan Singh**, Bombay High Court. Six parameters in the absence of a statutory definition.
24. **Tata Motors v State of West Bengal**. Black's Dictionary definition adopted; the Nano agreement involved public money and had to be disclosed.
25. **Diljeet Titus v Alfred A Adebare and Ors** (2006), Delhi High Court.
26. **Hi Tech Systems and Services Ltd v Suprabhat Ray and Ors** (2015). Solicitation of customers using confidential information. *The name appears as Ray on one slide and Roy on another.*
27. **Embee Software Pvt Ltd v Samir Kumar Shaw and Ors**, High Court of Calcutta. A non solicitation clause is not hit by Section 27.

G. Copyright interface and pleading

28. **Burlington Home Shopping Pvt Ltd v Rajnish Chibber**, 61 (1995) DLT 6. A compilation of addresses built with time, money, labour and skill is a literary work.
29. **Ritika Pvt Ltd v Biba Apparels Pvt Ltd**, Delhi High Court, DE 0784 2016. The specific trade secret must be stated; Section 15(2) bars copyright after fifty garments.
30. **Genetics India Pvt Ltd v Shailendra Shiv**, 2011 (47) PTC 494. Pleadings of the nature and quality of the confidential information are crucial.
31. **Navigators Logistics Ltd v Kashif Qureshi**, 2018 SCC OnLine Del 11321. Delhi High Court, 17 September 2018. The secret must be pleaded with precision. *Division Bench gave partial relief on 20 November 2024.*
32. **Eastern Book Company v D B Modak**. The skill and judgment standard, relied on in **Navigators Logistics**.

H. Confidence protecting ideas

33. **Zee Telefilms Ltd v Sundial Communications Pvt Ltd**, 2003 (5) Bom CR 404; 2003 (27) PTC 457. Bombay High Court, Division Bench, 27 March 2003. *The quotation on one slide is unverified.*
34. **Anil Gupta v Kunal Dasgupta**, 97 (2002) DLT 257. The Swayamvar concept; using one's brain on public domain material produces a confidential result.

I. Search orders

35. **Anton Piller KG v Manufacturing Processes Ltd**, [1976] Ch 55. Court of Appeal, 8 December 1975. The three conditions.
36. **Columbia Picture Industries v Robinson**, [1987] Ch 38. Safeguards against abuse.
37. **Universal Thermosensors Ltd v Hibben**, [1992] 1 WLR 840. Guidelines for execution.
38. **M Sivasamy v Vestergaard Frandsen A/S**, 2009 SCC OnLine Del 2310. Delhi High Court, 7 August 2009. Discovery and sealed cover confidentiality, *not* Anton Piller safeguards.
39. **Vestergaard Frandsen A/S v Bestnet Europe Ltd**, [2013] UKSC 31, 22 May 2013. No liability without acquisition or knowledge.

J. Inevitable disclosure, United States

40. **Eastman Kodak Co v Powers Film Products, Inc** (1919). The origin of the doctrine.

41. **PepsiCo, Inc v Redmond**, 54 F.3d 1262 (7th Cir 1995). The leading case and the standard.
42. **Barilla America, Inc v Wright**. Best intentions against intentions.
43. **Del Monte Fresh Produce Co v Dole Food Co**. A separate and distinct theory; the difference is the level of proof.
44. **Whyte v Schlage Lock Co**. Not a substitute for proving actual or threatened misappropriation.
45. **Central Valley General Hospital v Smith**. Rejecting the doctrine did not reject threatened misappropriation.
46. **Molon Motor and Coil Corporation v Nidec Motor Corporation**, No. 1:2016cv03545, Doc 81 (N.D. Ill. 2017). Adopted the doctrine; continued use after May 2016 plausible.

K. United States statutory cases

47. **United States v Lange**, 312 F.3d 263 (7th Cir 2002). Convicted, thirty months.
48. **United States v Aleynikov**, 676 F.3d 71 (2d Cir 2012). Conviction reversed on the statutory text; prompted the Clarification Act of 2012.
49. **Epic Systems Corporation v Tata Consultancy Services**, 980 F.3d 1117 (7th Cir 2020). Access for one purpose does not authorise another.
50. **TianRui Group Co Ltd v International Trade Commission**, 661 F.3d 1322 (Fed Cir 2011). Imports barred under Section 337.
51. **Santander Securities v Gamche**, 2017 WL 1208066 (E.D. Penn. April 2017). Advisor left with a client list.
52. **Brand Energy v Irex**. Target bids and customer information; continuing misappropriation after the effective date.
53. **Motorola Solutions, Inc v Hytera Communications Corp**, 436 F. Supp. 3d 1150. Damages for foreign misappropriation where an act in furtherance occurred in the United States.

Part 12. Corrections and cautions in one place

Each of these is a trap. Use the right hand version.

1. **Paris Convention**. One slide cites **Article 10** for unfair competition. The provision is **Article 10bis**; Article 10 covers false indications of source.
2. **Uniform Trade Secrets Act count**. One slide says **all the states**; another says **48 states as of November 2020**; independent checking gives **49 states** plus the District of Columbia, Puerto Rico and the United States Virgin Islands, with **New York the holdout**. Give the figure **with its date**, and never write that every state has adopted it.
3. **Section 27 exception**. One slide describes a narrow **partnership** exception. The only exception in Section 27 is the **sale of goodwill**. Partnership exceptions are in the **Indian Partnership Act, 1932**.
4. **Krishan Murgai**. One slide says the Supreme Court laid down the definitive **reasonableness test** and calls it the **constitutional precedent**. The **majority construed clause 10**; only **Sen J** addressed Section 27, holding post service covenants void **regardless of reasonableness**; and the case turns on the **Contract Act**, not constitutional law.
5. **Percept D'Mark**. Describing the covenants as **categorically void** overstates a decision given at the **interim relief stage** that rested substantially on **discretion** and on the bar against specifically enforcing a personal service contract, as well as on Section 27.
6. **Varun Tyagi**. One slide says the court held that using confidentiality as a backdoor **directly contravenes the Constitution**. The judgment reasons **entirely on Section 27** and contains **no constitutional holding**.
7. **Zee Telefilms**. The sentence one slide places in **quotation marks** could **not be verified** in the reported judgment. The case is citable; the quotation is not.
8. **Coco v A N Clark**. One slide names the judge as **Garry J**. It was **Megarry J**, and the report is **[1969] RPC 41** though the judgment was delivered in 1968.

9. **Saltman**. Given as [1963] on one slide and **1948 (65) RPC 203** on another. The correct citation is **(1948) 65 RPC 203**.
10. **Mitchel v Reynolds**. One slide places the bakehouse in **Liverpool**. It was in **Liquorpond Street, St Andrew Holborn, London**.
11. **Lalbhai Dalpatbhai**. Sometimes cited as **AIR 1996 Guj**. The correct report is **AIR 1966 Guj 189**.
12. **Hi Tech Systems**. The respondent appears as **Suprabhat Ray** on one slide and **Suprabhat Roy** on another.
13. **M Sivasamy v Vestergaard**. Do not attribute **Anton Piller safeguards** to it. The reported decision concerns **discovery and sealed cover confidentiality**.
14. **Existence as a question of fact**. The slide says it is **determined by a jury**. That is the United States position; **in India the judge decides**.
15. **A trade secret as a right in rem valid worldwide**. A handwritten note says this. **There is no worldwide trade secret right**. Its factual existence travels because it is not created by registration, but **enforcement still depends on the law of the forum**.

Do not cite at all

1. **Santander v Gamche** is real and is cited above with the class citation, but the **separate slide reference on the other deck could not be independently verified**, so quote the class citation and read the case before relying on it.
2. The **Polish intellectual property registry** said in a margin note to register trade secrets. **Could not be verified**.
3. The quoted sentence attributed to **Zee Telefilms**, as explained above.

Part 13. Revision

13.1 Dates and numbers

1. **Restatement of Torts, 1939**, Section 757 comment b, six factor test; Section 758 the elements. **Restatement (Third) of Unfair Competition, 1993**, Sections 39 to 45.
2. **Uniform Trade Secrets Act, 1979**, amended **1985**. Exemplary damages capped at twice the compensatory award.
3. **Trade Secrets Act, 1948**, 18 U.S.C. 1905, imprisonment up to one year.
4. **Economic Espionage Act, 1996**, 18 U.S.C. 1831 to 1839. Section 1831 foreign benefit, 5 million dollars and 15 years, organisations the greater of 10 million dollars or three times the value. Section 1832 economic benefit, 250,000 dollars and 10 years, organisations 5 million dollars.
5. **Defend Trade Secrets Act, 2016**, effective **11 May 2016**. Eight seizure conditions, hearing within **seven days**, exemplary damages up to twice compensatory, limitation **three years**.
6. **Directive (EU) 2016/943**, adopted **8 June 2016**, compliance by **9 June 2018**.
7. **TRIPS Article 39**, with **Articles 42, 44 and 45** on procedure. **Paris Articles 10bis and 10ter**.
8. **Section 27** Indian Contract Act, single goodwill exception. **Sections 2(o)** and **15(2)** Copyright Act. **Sections 43, 43A, 66, 72 and 72A** Information Technology Act. **Articles 19(1)(g)** and **21** of the Constitution.
9. **Law Commission Report No 289**, March 2024, draft Bill of thirteen clauses in four chapters, **not enacted**. National IP Rights Policy, **12 May 2016**. Trade Policy Forum, **20 October 2016**.

13.2 Likely questions and the skeleton of each answer

1. **Is a trade secret really intellectual property?** The five properties, the three it fails, the 1989 GATT paper on India, and the conclusion that it is a negative right protected by liability rules rather than a property right protected by exclusivity.

2. **The three ingredients with sources.** Secrecy, value from secrecy, reasonable steps, with TRIPS 39(2), the Uniform Act and Article 2(1), closing on convergence.
3. **Patent or secrecy, advise a client.** The seven questions, the reverse engineering test, Section 3(k), and the risk that a third party may patent the same information.
4. **How is a trade secret established?** The six factors and **Bombay Dyeing**, the Defendability Factor, EONA, existence as a question of fact, then the four rung burden ladder.
5. **Inevitable disclosure and India.** **Eastman Kodak**, **PepsiCo v Redmond**, the four cases on the distinction, California, Massachusetts and New York, 18 U.S.C. 1836(b)(3)(A), then **Priya Puri** and **Varun Tyagi**.
6. **Does Section 27 obstruct innovation?** The text and single exception, the during and after distinction with **Golikari**, **Gujarat Bottling** and **Indus Power Tech**, **Krishan Murgai** stated accurately, **Percept**, **Varun Tyagi**, Articles 19(1)(g) and 21, the labour mobility argument, and the Bill's silence on Section 27.
7. **Compare the American and European systems.** Definition, misappropriation, Article 4(5), the worker consultation safe harbour, whistleblower scope, litigation confidentiality including party access, and criminal liability against none.
8. **How does India protect secrets without a statute?** Contract, the **Coco** test, **Brady** and the springboard, **Saltman** and **Homag** on privity, **Zee Telefilms** and **Anil Gupta** on ideas, Section 2(o) and **Burlington**, the Information Technology Act and its limits, and the absence of any criminal offence.
9. **Assess the 2024 Bill.** Its origin, the statutory cause of action, the definition of misappropriation, protected practices, the whistleblower defence, Section 6, Section 2(f), Section 10, then the four gaps and the fact that it is not enacted.

13.3 Three closing lines that work anywhere

1. On definition the world has converged; on remedies, procedure and criminal liability it has not. 2. In India, draft the confidentiality clause, not the non compete. 3. A trade secret exists only when a court says it does, which is why the evidence layer, and not the contract, decides most cases.

Part 14. If the geographical indications lecture is in scope

The last lecture opens geographical indications and goes no further than the concepts below.

A geographical indication ties a **product**, a **place** and a **causal link** between them. It is not enough that a product comes from a place. Something about the place, whether **natural factors** such as soil, water, altitude and climate, or **human factors** such as an inherited craft skill, must explain a quality, reputation or characteristic of the product.

Three concepts nest inside one another:

1. **Indication of source.** Only that the goods originate in a particular place, with **no quality link**. Widest, and the subject of the Paris and Madrid Agreements on false indications of source.
2. **Geographical indication.** Origin **plus** a quality, reputation or other characteristic **essentially attributable** to that origin. The TRIPS Article 22(1) concept and the Indian statutory concept.
3. **Appellation of origin.** Origin plus quality or characteristics due **exclusively or essentially** to the geographical environment, with production, processing and preparation **all in the area**. Narrowest; the Lisbon Agreement concept.

Every appellation of origin is a geographical indication, and every geographical indication is an indication of source, but not the reverse. The differences from a **trademark** are the examinable part:

1. a trademark has **one proprietor**, while a geographical indication belongs to a **class of producers** and nobody owns it individually;

2. a trademark identifies the **commercial source**, while a geographical indication identifies **geographical origin** and through it a quality;
3. a trademark is **freely assignable**, while under **Section 24** of the Indian Act a geographical indication **cannot be assigned, transmitted, licensed, pledged or mortgaged**;
4. a trademark is used by the proprietor and licensees, while a geographical indication may be used by **any producer in the region** who meets the specification and is entered as an **authorised user**; and
5. both last **ten years** and both are **renewable**.

A geographical indication cannot be sold because it is a collective right tied to a place. Selling it away from the place and its producers would make no sense, and that single idea explains almost every difference between a geographical indication and every other intellectual property right.

On the Indian statute, for now only this. The **Geographical Indications of Goods (Registration and Protection) Act, 1999**, being Act 48 of 1999, received assent on **30 December 1999** and came into force on **15 September 2003** with the Rules of 2002. The Registrar is the **Controller General of Patents, Designs and Trade Marks**, the head office of the Registry is at **Chennai**, and **Darjeeling tea** was the first Indian geographical indication, on application number one.

End of notes